HINDUSTHAN INSTITUTE OF TECHNOLOGY, COIMBATORE- 32

DEPARTMENT OF MANAGEMENT SCIENCES

BA5301 INTERNATIONAL BUSINESS MANAGEMENT

UNIT 1

UNIT I INTRODUCTION

International Business –Definition – Internationalizing business-Advantages – factors causing globalization of business- international business environment – country attractiveness –Political, economic and cultural environment – Protection Vs liberalization of global business environment.

1.1.International Business

Business:

A business is an economic activity related to continuous buying and selling of goods and services for satisfying human wants

According to Stephenson, "Business as the regular production or purchase and sale of goods undertaken with the objective of earning profits and acquiring wealth through the satisfaction of human wants".

International Business:

International business means the buying and selling of the goods and services across the borders

International business is the process of focusing on the resources of the globe and objectives of the organizations on global business opportunities and threats. International business is defined as global trade of goods/services or investment.

Drivers of International Business:

1.2. Internationalizing Business

Benefits of International Business:

High Living Standards	Increased Socio-Economic Welfare	Wider Market	Reduced Effects of Business Cycles
Reduced Risks	Large-scale Economies	Potential Untapped Market	Provides the Opportunity to Domestic Business
Division of Labour and Specialisation	Economic Growth of the World at large	Optimum and Proper Utilisation of World Resources	Cultural Transformation

1. High Living Standards: Comparative cost theory indicates that the countries which have the advantages of raw materials, human resources, natural resources and climatic conditions in producing particular goods can produce the products at low cost and also of high quality. Customers in various countries can buy more products with the same amount of money. In turn, it can also enhance the living standards of the people through enhanced purchasing power and by consuming high quality products.

2. Increased Socio-Economic Welfare: International business enhances consumption level, and economic welfare of the people of the trading countries. For example the people of China are now enjoying a variety of products of various countries like Coca-Cola, McDonald's range of products, electronic products of Japan and coffee from Brazil. Thus the Chinese consumption levels and socio-economic welfare has enhanced.

3. Wider Market: International business widens the market and increases the market size. Therefore, the companies need not depend on the demand for the product in a single country or customer's tastes and preferences of a single country. Due to the enhanced market Air France, now, mostly depends on the demand for air travel of the customers from countries other than France. This is true in case of most of the MNCs like Toyota, Honda, Xerox and Coca-Cola.

4. Reduced Effects of Business Cycles: The stages of business cycles vary from country to country. Therefore, MNCs shift from the country experiencing a recession to the country experiencing 'boom' conditions. This enables international firms to escape recessionary conditions.

5. Reduced Risks: Both commercial and political risks are reduced for the companies engaged in international business due to spread in different countries. Multinationals which were operating in erstwhile USSR were affected only partly due to their safer operations in other countries. But the domestic companies of the then USSR collapsed completely.

6. Large-scale Economies: Multinational companies due to wider and larger markets produce larger quantities, which provide the benefits of large-scale economies like reduced cost of production, availability of expertise, quality etc.

7. Potential Untapped Markets: International business provides the chance of exploring and exploiting the potential markets which are untapped so far. These markets provide the opportunity of selling the product at a higher price than in domestic markets. For example Bata sells shoes in the UK at £ 100 (around Rs. 8000) whose price is around Rs. 1200 in India.

8. Provides the Opportunity to Domestic Business: International Business firms provide opportunities to the domestic companies. These opportunities include technology, management expertise, market intelligence, product developments etc. For example Japanese firms like Honda, Yamaha, Suzuki and Kawasaki have combined to form Joint Ventures with Indian companies to form Hero Honda, Birla Yamaha, Maruti Suzuki and Kawasaki Bajaj to share technology and product development expertise.

9. Division of Labour and Specialisation: International business leads to division of labour and specialization. For example Brazil specializes in coffee, Kenya in tea, Japan in automobiles and electronics, India in textile garments etc.

10. Economic Growth of the World at large: Specialization, division of labour, enhancement of productivity, posing challenges, development to meet them, innovations and creations to meet the competition lead to overall economic growth of the world nations. International business particularly helped the Asian countries like Japan, Taiwan, Korea, Philippines, Singapore, Malaysia and the United Arab Emirates.

11. Optimum and Proper Utilisation of World Resources: International business provides for the flow of raw materials, natural resources and human resources from the countries where they are in excess supply to those countries where they are in short supply or need most. For example flow of human resources from India, consumer goods from the UK, France, Italy and Germany to developing countries. This, in turn, helps in the optimum and proper utilization of world resources.

12. Cultural Transformation: International business benefits are not purely economical or commercial; they are even social and cultural. These days, we observe that the West is slowly tending towards the East and vice-versa. It does mean that the good cultural factors and values of the East are acquired by the West and vice-versa. Thus there is a close cultural transformation and integration.

DIFFERENCE BETWEEN DOMESTIC AND INTERNATIONAL BUSINESS

1. Environment: The economic, political, legal, socio-cultural, competitive and technology environments are well known in case of domestic business due to the familiarity of geography and place of operations, hence the organization can take the necessary precautions to assess its impact and adjust quickly to the changes in the same. In international operations the various aspects of the macro external environment are not fully known unless the business is established and created a place for itself in the market. Thus a number of innumerable hidden environmental factors may emerge during the settlement period which may pose problems. For example - an Indian company which wishes to enter and establish operations in the European markets may face numerous political, legal, socio-cultural and other problems cropping up in the external macro environment during the initial settlement stages. When fast food chain Mc Donald's entered India in 1996 had to ensure that it did not offer pork or beef items so as to gain acceptance locally. It also had to re-engineer its operations to address the special requirements of vegetarians in India and introduce variations in dishes that were not available at any Mc Donald's outlet anywhere in the world.

2. Plan and Strategy: Plans and strategies are generally worked out for the short term. The short term plans are linked together and carried forward into the long run. The inverse is also possible as domestic business offers the flexibility to organizations. In case of international business only a well thought out, proven, practical long term time-bound planning and strategy works.

3. Competition: The competitive forces operating in the domestic business environment are restricted to a local boundary. The movement of competitive forces can thus be analyzed and understood more clearly. In case of international business competitive forces are not restricted to a local boundary. They extend over several countries, thereby making it difficult to analyze their motive and movement.

4. Difference in Currencies: There is only one currency acceptable all over the country and therefore there are no difficulties in making payments in internal trade. But, each country has its own monetary system which differs from others. Exchange rates between the two currencies are fixed by the monetary authorities under the rules framed by the International Monetary Fund. All payments for imports are to be made in the exporting country's currency which is not freely available in importers country. The scarcity of foreign currency may sometimes limit the size of imports from other countries.

5. Tariffs and Quotas: The tariff rates and quotas imposed by various countries on their exports and imports do not directly and significantly influence domestic business operations. The international businesses are directly and significantly influenced by the tariff rates imposed by various countries. Also they have to operate within the quotas of exports and imports imposed by different countries.

6. Research and Development: It is reasonable and relatively simpler to carry out business product research, innovations, demand analysis and customer survey in domestic business. Also the reliability and success rate of their results are much higher. For e.g. Nestle Maggi has developed and introduced Vegetable Atta noodles, a variety of noodles which is available mostly only in India and not in other countries based on market research. Research and development in international business operations is expensive and difficult to conduct. Their reliability criteria depend on individual countries and there is no uniformity in the result of their applications. Quoting the same example Nestle Maggi has developed different varieties of noodles such as Kari Letup and Pizza which are particularly sold in Malaysia and Saudi Arabia and which may not be suitable to Indian markets.

7. Human Resources: Due to past successes, proven track record and established systems, business can prosper even if the human resources have minimum skills and knowledge. The task of human resources management is much simpler in domestic business. The international business requires multi-lingual, multi-

strategic and multi-cultural human resources to handle varied risks spread over countries. Thus the task of human resource management is much more complex.

8. Organizational Vision and Objective: The organizational vision and objective in domestic business is narrowed down to work in a single country with a steady growth objective. For e.g. a part of the vision of Tata Steel in 1998 – 99 was "In the coming decade, we will become the most competitive steel plant and so serve the community and the nation." In case of international business the organizational vision and objective is more broadened to cover many countries and geographic and cultural diversity may influence the same. For e.g. the vision of Tata Steel Group's vision currently states "We aspire to be the global steel industry benchmark for Value Creation and Corporate Citizenship".

9. Investment: Depending on the size of domestic business operations one can start with a minimum investment. Involvement of regulatory bodies in respect of small local business enterprises is limited. On the other hand all overseas operations except exports, call for huge investments to set up and expand the business in many countries. Special regulatory bodies are involved in the process since foreign currency is transacted.

10. Distribution: Domestic business houses can use at its discretion to select any distribution channel to reach the customer. For e.g. small "Mom and Pop" stores are one of the most popular and widely used distribution channels for Fast Moving Consumer Goods (FMCG) in rural and urban India. The choice of distribution channel in international business operations is governed by the government or market practice of the nation where the business is operating. For e.g. cash and carry stores and shopping malls which are very commonly used channels in the developed markets are now catching up in urban India.

11. Logistics: Domestic business may involve use of conventional logistical methods engaging domestic players for procurement of raw materials and reaching of final products to the consumer. For e.g. carts and cycles are very commonly used means of transportation in the local Indian business operations even today. International business engages international players involving advanced technology and systems for effective logistical operations. For e.g. containerized transportation is the standard form of reaching the goods to the required destination in most developed nations.

12. Advertising and Promotion: Advertising, personal selling and other promotional methods are subject to the regulations prevailing in the domestic business operations. For e.g. advertisement and promotion of pharmaceutical drugs, cigarettes and alcohol are restricted in India. In case of international business different countries have different regulations with regard to advertisement and promotion. For e.g. advertisements of cigarettes and alcohol are permitted in some developed nations.

13. Approach: Domestic business's approach is ethnocentric. It means that domestic companies formulate strategies, product design etc. towards national markets, customers and competitors. International business's approach can be polycentric, regiocentric or geocentric. Under polycentric approach international business enters foreign markets by establishing foreign subsidiaries. Under region-centric approach, they export the product to the neighbouring countries of the host country. Under the geocentric approach, they treat the entire world as a single market for production, marketing, investment and drawing various inputs.

14. Difference in Natural and Geographical Conditions: Natural resources like availability of raw materials, composition of soil, fertility of soil, rainfall, temperature etc. differ widely from country to country. On the basis of this speciality, countries specialise themselves in the production of certain selected commodities and therefore they produce better quality of goods at lower rates and sell them in the international market. It causes difference in domestic trade and foreign trade.

15. Different Legal Systems: Different legal systems are operated by different countries and they all widely differ from each other. The existence of different legal systems makes the task of businessmen more difficult as they have to follow legal provisions of the two countries as regards the particular trade.

16. Mobility of Factors of Production: Mobility of different factors of production is less as between nations

than in the country itself. However, with the advent of air transport, the mobility of labour has increased manifold. Similarly mobility of capital has increased with the development of international banking. Inspite of these developments, mobility of labour and capital is not as much as it is found within the country itself.

17. Sovereign Political Entities: Each country is an independent sovereign political entity. Different countries impose different types of restrictions on imports and exports in the national interest. The importers and exporters shall have to observe such restrictions while entering into agreement. These restrictions may be:

- Imposition of tariffs and customs duties on imports and exports;
- Quantitative restrictions like quota etc.
- Exchange control;
- Imposition of more local taxes etc.

No such restrictions are imposed on domestic trade or restrictions imposed on internal trade are quite different.

1.3.Factors causing globalization of business

Globalization:

The term "globalisation" began to be used more commonly in the 1980s, reflecting technological advances that made it easier and quicker to complete international transactions – both trade and financial flows. It refers to an extension beyond national borders of the same market forces that have operated for centuries at all levels of human economic activity – village markets, urban industries, or financial centres.

According to International Monetary Fund (IMF), globalisation means "the growing economic interdependence of countries world wide through increasing volume and variety of cross-border transactions in goods and services and of international capital flows and also through the more rapid and widespread diffusion of technology".

The main features of globalisation

Reduction of trade barriers so as to ensure free flow of goods and services across national frontiers;	Creation of an environment in which free flow of capital can take place among nations;	Creation of an environment which permits free flow of technology between nations;	Creation of an environment in which free movement of labour can take place in different countries of the world; and	Creation of a global mechanism for the settlement of economic disputes between various countries.

BENEFITS OF GLOBALISATION

1. Increase in Competitive Strength of domestic industry: Globalisation exposes domestic industry in developing countries to foreign competition. This put domestic companies under pressure to improve efficiency and quality and reduce costs. Under a protective regime industry lose the urge to improve efficiency and quality. Globalisation helps to improve the competitive strength and economic growth of developing nations.

2. Access to Advanced Technology: For a developing country like India, globalisation provides access to new technology; Indian companies can acquire sophisticated technology through outright purchase or through joint ventures and other arrangements.

3. Access to Foreign Investment: Globalisation has attracted the much needed foreign capital towards developing countries like India. Foreign multinationals have invested billion of dollars in India. In addition, foreign institutional investors have brought in huge funds in stock markets in India.

4. Reduction in Cost of Production: In a globalised environment, companies can secure cheaper sources of

raw materials and labour. For example, several foreign companies have set up BPOs and call centres in India due to lower cost of labour. Sometimes, a company may carry out its entire manufacturing in a foreign country to minimize cost of production.

5. Growth and Expansion: When the domestic market is not large enough to absorb the entire production, domestic companies can expand and grow by entering foreign markets. Japanese firms flooded the US markets with automobiles and electronics because of this reason. Companies from USA, Europe and other developed regions are increasing their presence in Asia due to growing population and increasing income levels in Asian countries.

6. Higher Volume of Trade: Due to globalisation, each country can specialize in the production of goods and services in which it has a comparative advantage. It can export its surplus output and import their items freely from other nations. This will lead not only to a phenomenal increase in the world trade but also to better allocation and utilization of resources in each country.

7. Consumer Welfare: Better quality and low priced goods and services will become available to consumers. This along with a wider choice in consumption will help improve standards of living of people in developing countries. Over a period of time, the proportion of people below the poverty line will go down. Consumers also get access to products manufactured in any part of the world.

8. Other benefits: Globalisation also offers some spin off benefits. It helps in the professionalization of management. Globalisation brings people of different races and ethnic backgrounds closer. It helps to promote mutual cooperation and world peace.

Criticisms of Globalization

1. Threat to Domestic Industry: Globalisation leads to increasing role of foreign companies in the domestic economy of a country. This is likely to hamper the growth of domestic companies. Small and medium firms in a developing country like India are not in a position to compete with giant firms of developed nations.

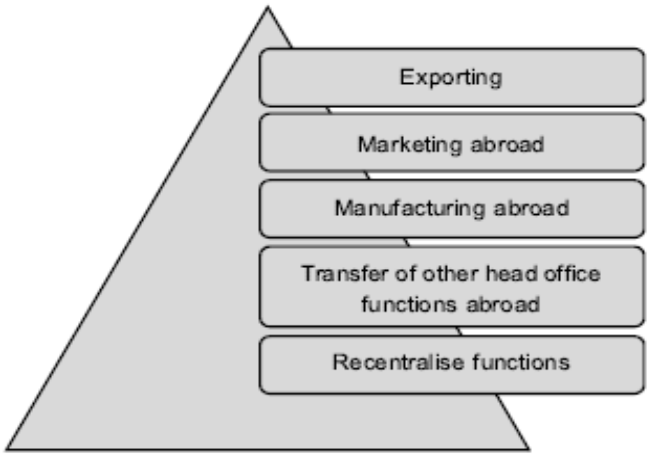
2. Unemployment: Globalisation brings about rapid technological changes. Advanced technology might create unemployment problems, particularly in developing country.

3. Threat to Democracy: Globalisation requires very fast movement of capital and labour across national frontiers. These increase the pressure for conceptual and structural readjustments to the breaking point. The social and human costs of globalisation may put the social fabric of a democracy in danger.

4. Economic Instability: Globalisation leads to a tremendous redistribution of economic power. Such redistribution will translate into a redistribution of political power. The change is likely to have a destabilizing effect.

5. Disregard of National Interest: A developing economy might become excessively dependent on global corporations. This may not be in the national interest.

Stages of Gobalisation



1st Stage: Exporting is the first stage and is also the least committed mode of entry into foreign markets. It is used by firms using an International or Global strategy where the local responsiveness is low. Domestic company moves into new markets overseas by linking up with local dealers and distributors.

2nd Stage: As a firm's commitment to a market increases it will move to the second stage and introduce some marketing functions into country. This may now be associated with any of the other four modes, depending on the degree of commitment. It may also indicate that the firm is moving towards a multidomestic strategy.

3rd Stage: In the next stage, the domestic based company begins to carry out its own manufacturing in the key foreign markets. The licensing, joint venture or subsidiary mode may be used. It may indicate a move to a more multidomestic or global strategy from an International strategy, although many companies following an international strategy have manufacturing overseas, e.g. bulk pharmaceutical factories in Ireland.

4th Stage: The fourth stage of globalisation is the transfer of other head office functions to the subsidiaries. In stage four, the company moves to a full insider position in these markets, supported by a complete business system including R&D and engineering. This stage calls on the managers to replicate in a new environment the hardware, systems and operational approaches that have worked so well at home. It forces them to extend the reach of domestic headquarters, which now has to provide support functions such as personnel and finance, to all overseas activities. The transfer of R&D, engineering, finance etc. may end up forming a smaller clone of the head office, so-called insiderization. Many pharmaceutical and medical device subsidiaries in Ireland have reached this stage.

5th Stage: In the fifth stage, the company moves toward a genuinely global mode of operation. The fifth stage is to transfer functions back to the centre. The centre may not be the head office but a subsidiary that has shown a flair for a competence. This is similar to Ghoshal and Bartlett's (1989) transnational strategy. The functions transferred back may be human resources, finance functions from a shared service operation, R&D back to a small number of site to better exploit synergies, etc. There is some evidence that this is starting to occur, especially in competitive industries such as cars and microelectronics. There is some evidence of it occurring in the pharmaceutical industry. The recent large mergers are a symptom of this.

Factors favouring Gobalisation in India

***Human Resources*:** Apart from the low cost of labour, there are several other aspects of human resources to India's favour. India has one of the largest pool of scientific and technical manpower. The number of management graduates is also surging. It is widely recognised that given the right environment, Indian scientists and technical personnel can do excellently. Similarly, although the labour productivity in India is generally low, given the right environment it will be good. While several countries are facing labour shortage and may face diminishing labour supply, India presents the opposite picture. Cheap labour has particular attraction for several industries. Moreover India has more than 70% of young population, which is active workforce. The English speaking advantage of Indian population has been boon for developing Business Process Outsourcing Industry in India.

***Wide Base*:** India has a very broad resource and industrial base which can support a variety of businesses.

***Growing Entrepreneurship*:** Many of the established industries are planning to go international in a big way. Added to this is the considerable growth of new and dynamic entrepreneurs who could make a significant contribution to the globalisation of Indian business.

***Growing Domestic Market*:** The growing domestic market enables the Indian companies to consolidate their position and to gain more strength to make foray into the foreign market or to expand their foreign business.

***Niche Markets*:** There are many marketing opportunities abroad present in the form of market niches. (A niche is a small segment of a market ignored or not properly served by large players). Such niches are particularly attractive for small companies. Several Indian companies have become very successful by niche marking.

***Expanding Markets*:** The growing population and disposable income and the resultant expanding internal market provides enormous business opportunities.

***Transnationalisation of World Economy*:** Transnationalisation of the world economy, i.e., the integration of the national economies into a single world economy as evinced by the growing interdependence and globalisation of markets is an external factor encouraging globalisation of India business.

***NRIs*:** The large number of non-resident Indians who are resourceful - in terms of capital, skill, experience, exposure, ideas etc., is an asset which can contribute to the globalisation of Indian business. The contribution of the overseas Chinese to the recent impressive industrial development of China may be noted here.

***Economic Liberalisation*:** The economic liberalisation in India is an encouraging factor of globalisation. The delicensing of industries, removal of restrictions on growth, opening up of industries earlier reserved for the public sector, import liberalisations, liberalisation of policy towards foreign capital and technology etc., could encourage globalisation of Indian business. Further, liberalisation in other countries increases the foreign business opportunities for Indian business.

Competition: The growing competition, both from within the country and abroad, provokes many Indian companies to look, to foreign markets seriously to improve their competitive position and to increase the business. Sometimes companies enter foreign market as a counter - competitive strategy, i.e., m fight the foreign company in its own home market to weaken its competitive strength.

International Orientations: The degree and nature of involvement in international business refers to the international orientations of companies. These orientations vary widely. Four types of attitudes or orientations towards internationalization are associated with successive stages in the evolution of international operations.

These four orientations are:

(i) Ethnocentrism (home country orientation)

(ii) Polycentrism (host country orientation)

(iii) Regiocentrism (regional orientation)

(iv) Geocentrism (world orientation)

These stages are called the EPRG scheme and are assumed to reflect the goals and philosophies of the company so far as international operations are concerned. Each leads to different management strategies and planning procedure for international operations.

 Ethnocentric Orientation: In the ethnocentric company. overseas operations are viewed as secondary to domestic operations and primarily as a means of disposing of "surplus" domestic production. The top management views domestic techniques and personnel as superior to foreign and as the most effective in overseas markets. Plans for overseas markets are developed in the home office, utilising policies and procedures identical to those employed in the domestic market. Overseas marketing is most commonly administered by an export department or international division, and the marketing personnel is composed primarily of nationals of home country. Overseas operations are conducted from a home country base, and there is likely to be a strong reliance on export agents. There is a tendency to employ the domestic product mix without major modifications for the overseas market.

The ethnocentric position appears to be appropriate for a small company just entering international operations, or for companies with minimal international commitments because this approach entails a minimal risk and commitment to overseas markets - no international investment is required, and no additional selling costs incurred, with the possible exception of higher distribution costs. This position may be inappropriate for a company which wants to expand its international business significantly.

 Polycentric Orientation: As the company begins to recognize the importance of inherent differences in overseas markets, a polycentric attitude emerges. The prevalent philosophy at this stage is that local personnel and techniques are best suited to deal with local market conditions. Subsidiaries are established in overseas markets, and each subsidiary operates independently of the others and establishes its own marketing objectives and plans. The environment of each market is considered while formulating the marketing strategy. There is always a market segmentation, at least on a country basis. Emphasis is put on local laws, custom and culture and great care is taken to understand the local way of doing business. This usually results in the

maximum degree of geographic decentralisation as local managers are recognised as being psychologically close to markets, environments and customers.

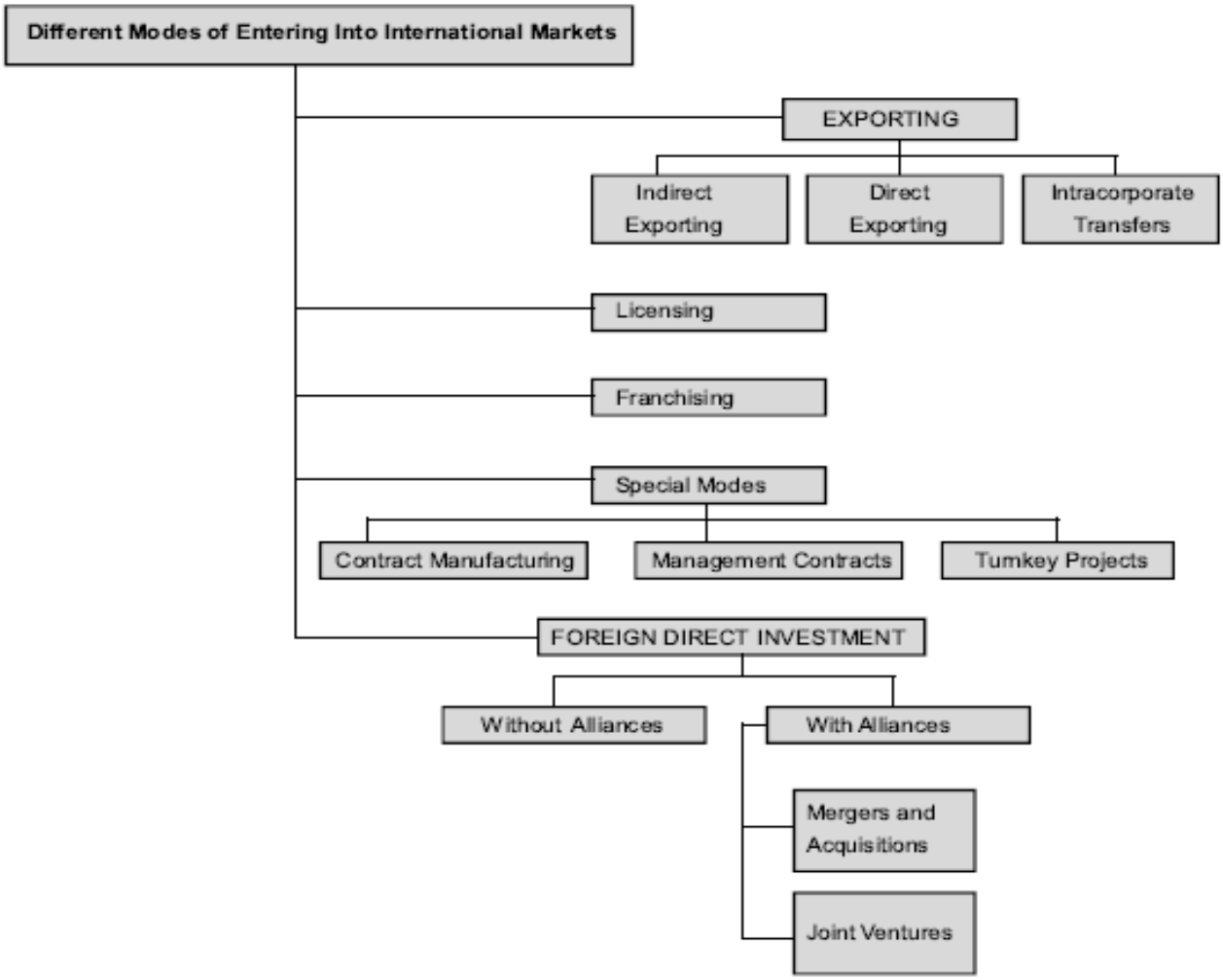
Table Comparison of Different International Orientations

Characteristic features	Ethnocentrism	Polycentrism	Regiocentrism	Geocentrism
Management orientation	• Home Country orientation	• Host country orientation	• Regional orientation	• Global orientation
Perception of the market	• Domestic market is superior • Opportunities in the similarities between the home and foreign markets • Foreign markets are extensions of domestic market	• Each national market is distinctive • The differences between the home and foreign markets are devisive	• Markets can be differentiated and delineated on the basis of common regional characteristics	• The entire world is a single market that can be effectively tapped by a standardized marketing strategy
Marketing strategy	• Extension of domestic strategy to foreign markets	• Localisation	• Trade-off between localization and standardizatio n	• Global standardization
Merits	• No cost and effort of localization • An easy route to internationalization when foreign markets/niches exist with characteristics similar to domestic market exist	• Adaptation to the market characteristi cs which help better exploitation of the market potentials	• Some of the advantages of both the localization of the market potentials	• Economies of scale and lower costs • Advantages of pace
Demerits	• Limits the scope of exploitation of the international business opportunities	• High costs of adaptation • Delays associated with adaptation	• Neglect of intra-regional differences in the business environment	• Standardisation will not be successful in many cases

Regiocentric and Geocentric Orientations

A regiocentric company views different regions as different markets. A particular region with certain important common marketing characteristics is regarded as a single market, ignoring national boundaries. Strategy integration, organizational approach and product policy tend to be implemented at regional level. Objectives are set by negotiation between headquarters and regional HQ on the one hand and between regional HQ and individual subsidiaries on the other.

A geocentric company views the entire world as a single market and develps standardized marketing mix, projecting a uniform image of the company and its products, for the global market. The business of the geocentric multinational is usually characterised by sufficiently distinctive national markets that the ethnocentric approach is unworkable, and where the importance of learning curve effects in marketing, production technology and management makes the polycentric philosophy less than appropriate



EXPORTING:

Exporting is the easiest and most widely used mode of entering in international markets. Exporters can be classified in various ways as given below.

1. Small or Large exporters: Depending upon the size of the business, exporters are classified as small or large exporters. Current foreign trade policy in India provides incentives and facilities to promote both small exporters and large exporters who are status holders due to their performance in earning foreign exchange.

2. Single or Multi-product exporters: Depending upon the product lines exported, they are classified as single product or multi product exporters.

3. Depending upon the legal status, exporters are classified as proprietary companies, partnership companies, private limited companies and public limited companies.

4. Depending upon the destination of exports, they are exporters as single destination exporters or multi destination exporters. Nowadays, the majority of companies adopt the philosophy of multi product, multi locational, multi strategic and multi dimensional operations.

5. Depending upon the frequency of exports, exporters are classified as occasional exporters and dynamic exporters.

Exporting includes indirect exporting, direct exporting and intra-corporate transfers.

Indirect Exporting:

Indirect exporting is exporting the products either in their original form or in the modified form to a foreign country through another domestic company. It is the market entry technique which offers lowest risk & least market control. The firm is not engaged in international marketing and no special activity is carried on within the firm. The sale is handled just like domestic sales. Various publishers in India including Himalaya Publishing House sell their products i.e books to UBS publishers of India, which in turn exports these books to various foreign countries

Direct Exporting:

Direct exporting is selling the products to a country directly through its distribution arrangement or through a host country's company. Baskin Robins initially exported its ice-cream to Russia in 1990 and later opened 74 outlets with Russian partners. Finally in 1995 it established its ice cream plant in Moscow.

Intra-corporate Transfers:

Intracorporate transfers means selling of product; by a company to its affiliated company in host country (another country). For example selling of products by Hindustan Lever in India to Unilever in USA This transaction is treated as exports in India and imports in USA.

Some of the factors to be considered by a company while exporting are as follows:

- Government policies like export policies, import policies, export financing, foreign exchange.
- Marketing factors like image, distribution networks, responsiveness to the customer, customer awareness and customer preferences
- Location consideration: These factors include physical distribution costs, warehousing costs, transportation costs, inventory carrying costs etc.

LICENSING:

Licensing is the method of foreign operation whereby a firm in one country agrees to permit a company in another country to use the manufacturing, processing, trademark, know-how or some other skill provided by the licensor. Eg. Coco-cola

Licensing gives the following advantages:

- Good way to start in foreign operations and open the door to low risk manufacturing relationships
- It brings new technology and know-how in the licensees' country.
- Linkage of parent and receiving partner interests means both get most out of marketing effort
- Capital not tied up in foreign operation and Options to buy into partner exist or provision to take royalties in stock.

FRANCHISING

Franchising refers to the methods of practicing and using another person's business philosophy. The franchisor grants the important operator the right to distribute its products, techniques and trademarks for a percentage of gross monthly sales and a royalty fee.

- Businesses with a good track record of profitability.
- Businesses built around a unique or unusual concept.
- Businesses with broad geographic appeal.
- Businesses which are relatively easy to operate.
- Businesses which are relatively inexpensive to operate.
- Businesses which are easily duplicated.

Franchisor: Selects franchisee and provides franchisor the services of operating systems, receives the fixed amount trade marks, product reputations and royalty from the & support systems like franchisee for providing the advertising, employee training, expertise and brand quality assurance programmes reputations to franchisee etc.

Franchisee: An independent organization, agrees to follow franchisor's requirement like appearance, operating procedures, financial reporting, customer service under a franchising agreement. Some Pays a fixed amount and flexibility allowed under the royalty based on the sales to agreement the franchisor

SPECIAL MODES

Contract Manufacturing

Contract manufacturing is a process that established a working agreement between two companies. As part of the agreement, one company will custom produce parts or other materials on behalf of their client. In most cases, the manufacturer will also handle the ordering and shipment processes for the client. As a result, the client does not have to maintain manufacturing facilities, purchase raw materials, or hire labor in order to produce the finished goods.

Management Contracts

A management contract is an arrangement under which operational control of an enterprise is vested by contract in a separate enterprise which performs the necessary managerial functions in return for a fee. Management contracts involve not just selling a method of doing things (as with franchising or licensing) but involves actually doing them. A management contract can involve a wide range of functions, such as technical operation of a

Turnkey projects

Turn-key refers to something that is ready for immediate use, generally used in the sale or supply of goods or services. The term is common in the construction industry, for instance, in which it refers to the bundling of materials and labour by sub-contractors. A "turnkey" job by a plumber would include the parts (toilets, tub, faucets, pipes, etc.) as well as the plumber's labour, without any contribution by the general contractors. This is

FOREIGN DIRECT INVESTMENT WITHOUT ALLIANCES

Some companies enter the foreign markets through exporting, licensing, franchising etc., get the knowledge and awareness of the foreign markets, culture of the country, customers' preferences, political situation of the country etc and then establish manufacturing facilities by ownership in the foreign countries. Baskin Robbin's in Russia followed this strategy. In this arrangement, the internationl firm makes a direct investment in a production unit in a foreign market. It requires greatest commitment since there is 100% ownership. It is also called the

FOREIGN DIRECT INVESTMENT WITH STRATEGIC ALLIANCES

Innovations, creations, productivity, growth, expansions and diversifications in recent years are mostly accomplished by strategic alliances adopted by various companies. Strategic alliances are a co-operative approach to achieve the larger goals. Strategic alliances can take different forms like licensing, franchising, contract manufacturing, JVs etc. Alliances are a strategy to explore a new market which the companies individually cannot do. Example: Xerox of USA and Fuji of Japan collaborated to explore new markets in Europe and Pacific Rim

Mergers and Acquisitions

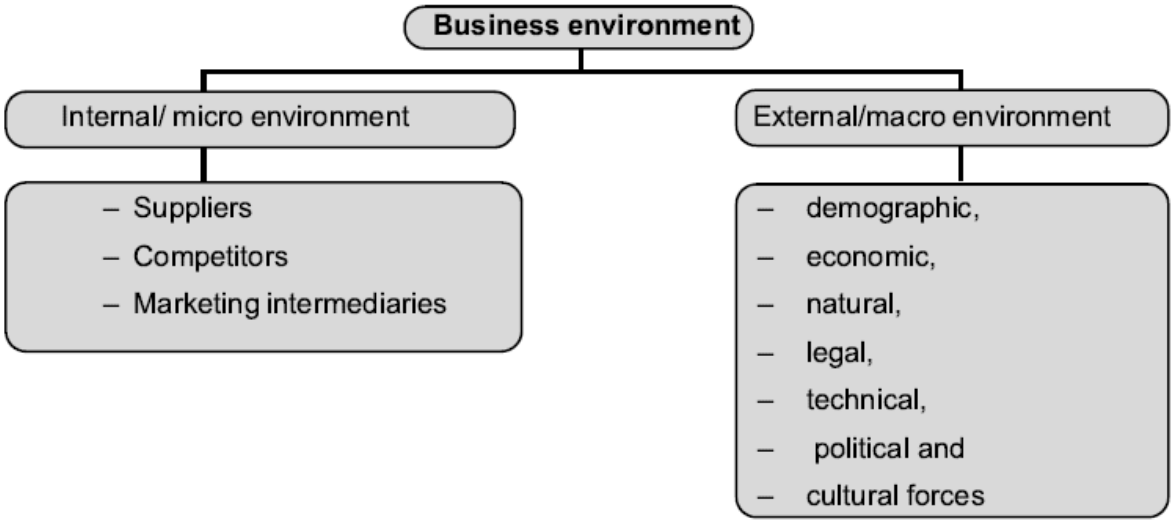
International mergers and acquisitions are growing day by day. These mergers and acquisitions refer to those mergers and acquisitions that are taking place beyond the boundaries of a particular country. International mergers and acquisitions are also termed as global mergers and acquisitions or cross-border mergers and acquisitions. Globalisation and worldwide financial reforms have collectively contributed towards the development of international mergers and acquisitions to a substantial extent.

Joint Venture

A Joint Venture is an entity formed between two or more parties to undertake economic activity together. The parties agree to create a new entity to share in the revenues, expenses, and control of the enterprise. Joint ventures can be defined as "an enterprise in which two or more investors share ownership and control over property rights and operation". The venture can be for one specific project only, or a continuing business relationship. Entering into a joint venture is a major decision. Businesses of any size can use joint ventures to strengthen long-term relationships or to collaborate on short-term projects.

1.4.International Business environment

The international business environment (IBE) can be defined as the environment in different countries, with factors prevalent in the home environment of the organisation which influences decision making of the business by affecting use of resources and capabilities. IBE is defined as a set of activities relating to industry and commerce, on an international level. IBE is unfamiliar and different from domestic environment. Thus, extra vigilance is required to these environmental differences. IBE includes the social, political, economic, regulatory, tax, cultural, legal, and technological environments.

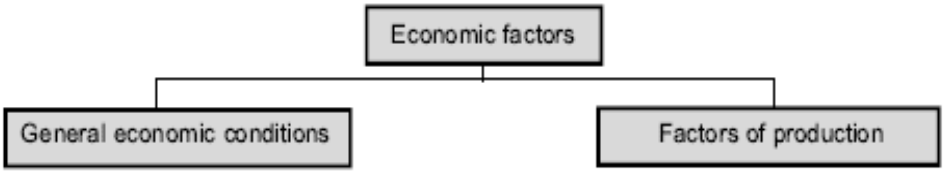


Thus the business environment comprises of both a micro and a macro environment. The micro environment refers mainly to the industry within which it operates. It consists of actors in the immediate environment that affects the performance of the firm, such as suppliers, competitors, marketing intermediaries, customers etc. The macro environment consists of larger societal forces that affect the actors in the company's micro environment, such as demographic, economic, natural, legal, technical, political and cultural forces. So, for the purpose of strategic management first a strategist has to analyze these macro environmental dimensions and then a detailed analysis of the industry needs to be done.

ECONOMIC ENVIRONMENT

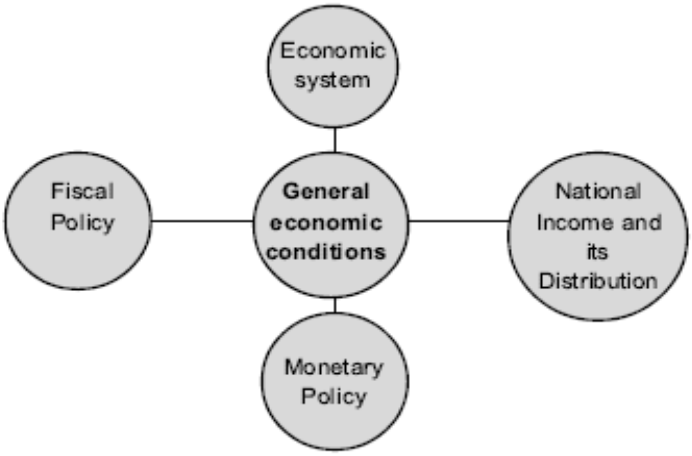
Economic environment is by far the most important environmental factor which the business organisations take into account because a business organisation is an economic unit of operation. Since the measurement of organisational performance is mostly in the form of financial terms, often managers concentrate more on economic factors. The economic environment is important for non-business organisations too because such organisations depend on the environment for their resource procurement which is greatly determined by the economic factors. As such, the understanding of economic environment is of crucial importance to strategic management. Economic environment covers all those factors, which give shape and form to the development of economic activities and may include factors like nature of economic system, general economic conditions, various economic policies, and various production factors.

From the analytical point of view, various economic factors can be divided into two broad categories: general economic conditions and factors of production. The discussion of these factors will bring out the nature of total economic environment.



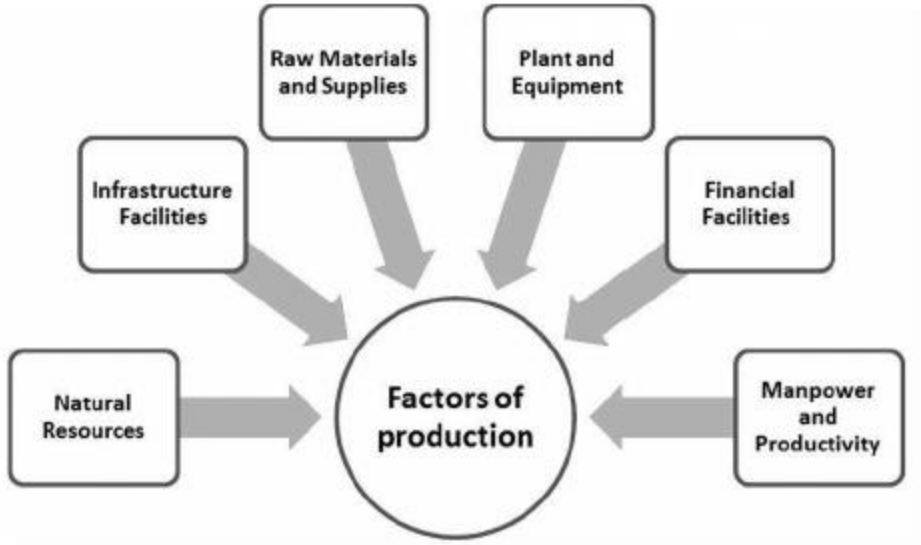
General Economic Conditions

General economic conditions of a country determine the extent to which various economic forces influence an organisation. Such forces include: economic system, monetary policy, fiscal policy and industrial policy of the country. However, the general economic conditions are also affected by the political and social factors. These economic conditions affect national income, distribution of income, level of employment, factor market and product market. In turn, all these factors taken together affect the working of business organisations. An intensive analysis of these forces will give a picture of the conditions in which the organisations have to operate.



Factors of production

Organisations employ different factor inputs in the process of production such as land, labour, capital, managerial personnel, etc. The management should appraise the availability of these factors inputs so that suitable strategies can be adopted for their procurement and utilization. The easy availability of these resources facilitates the organisational functioning. In addition to availability, cost and quantity of resources are significant. While analyzing the factor market aspect of economic environment, following considerations should be taken into account.



While analyzing the economic environment, the organisation intending to enter a particular business sector may consider the following aspects:

1. The economic system to enter the business sector.
2. The stage of economic growth and the pace of growth.
3. The level of national and per capita income.
4. The incidents of taxes, both direct and indirect.
5. The infrastructure facilities available and the difficulties thereof.
6. Availability of raw materials and components and the cost thereof.
7. The sources of financial resources and their costs.
8. Availability of manpower-managerial, technical and workers available and their salary and wage structures.

TECHNOLOGICAL ENVIRONMENT

Technological environment refers to the sum total of knowledge providing ways to do things. It may include inventions and techniques, which affect the ways of doing things, i.e., designing, producing, and distributing products. Technological environment is important for business as it affects the type of conversion process that it may adopt for its purpose. A given technology affects an organisation in the way it is organised and faces competition. From the strategic management point of view, technology has following implications:

(i) Technology is a major source of increasing the productivity. Though human beings are primarily responsible for handling technology, their efficiency is determined by the type of technology used.

(ii) Various jobs in an organisation performed by individuals are determined by the technology used. If there is a change in technology, the nature of jobs are changed because technology determines the level of skills required.

(iii) Technology influences the social situation. The size of groups, membership of groups, patterns of interpersonal interactions, opportunity to control the activities etc., are influenced by technology in a variety of ways.

(iv) Organisations become secured by developing efficiency through the adoption of latest and efficient technology. Since the technology has become more complex, it is difficult for new organisations to enter the field.

(v) Technology influences the cost of production and quality of the product/ service.

Thus, in analyzing the technological environment, the organisation may consider the following aspects:

1. The level of technological development in the country as a whole and specific business sectors.
2. The pace of technological changes and technological obsolescence.
3. The sources of technology.
4. The restrictions and facilities for technology transfer and time taken for absorption of technology.

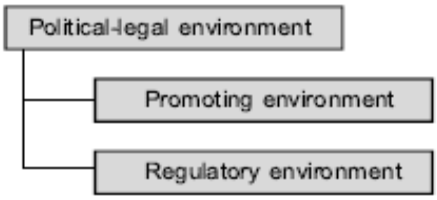
POLITICAL – LEGAL ENVIRONMENT

Political-legal environment consists of laws and regulatory framework and political set-up in which a business unit is operating. The stable political set-up and legal framework in the economy influence the decisions of the organisation. S.H. Robock has developed a conceptual framework for identifying and assessing political risk which may affect business decisions. The major sources of such risks include competing ideologies, vested interest in local business groups, electoral majority of the party in power, dissension in the ruling party, insurgencies in border areas, international power alignment and alliances, foreign economic policies of the government abroad, national and regional interest etc.

Political-legal environment factor is particularly important in a mixed economy like India, and it has significant effect in working of business organisations. Legislature, judiciary and executive are three major organs of political and legal environment. Political-legal environment includes the following elements:

1. Political system i.e. political processes, political organisations-political parties, political stability, extent of bureaucratic delays, etc.
2. Legal rules of the business-their formulation, implementation, efficiency, and effectiveness.
3. Defence and foreign policies – defence expenditure, maintenance of external relationships with other countries, etc.

Political-legal environment can be divided into the following two parts:



Thus, in analyzing political-legal environment, an organisation may broadly consider the following aspects: Influence political system of the business;

- Approaches of the Government towards business i.e., restrictive or facilitating;
- Facilities and incentives offered by the Government;
- Legal restrictions such as licensing requirement, reservation to a specific sector like public sector, private or small-scale sector;
- Restrictions in importing technical know-how, capital goods and raw materials;
- Restrictions in exporting products and services;
- Restrictions on pricing and distribution of goods;
- Procedural formalities required in setting the business;
- Economic and Financial Sector Reforms.

SOCIO-CULTURAL ENVIRONMENT

Social-cultural environment is another important aspect of environmental scanning in strategic management. It basically refers to the set of values, ideals, attitudes, belief, desires, expectations which distinguish one group from those of another. The organisation needs to be aware of how social and cultural factors can directly influence the way they manage their operations particularly human resources and marketing. The executives in the organisation need to be aware of sensitive values and ideas of people coming from different up-bringing and backgrounds. Changes in aspirations, habits, customs and values lead to generation of new opportunities and threats to the business organisation.

Socio-cultural environment covers the following:

(i) Expectations of the society from the business;

(ii) Attitudes of society towards business and its management;

(iii) Views towards achievement of work;

(iv) Views towards authority structure, responsibility and organisational positions;

(v) Views towards customs, traditions, and conventions etc.;

(vi) Labour mobility and level of education.

In analyzing social and cultural factors, the organisation has to see the following aspects:

- Approaches of the society towards business in general and in specific areas;
- Influence of social, cultural and religious factors on acceptability of the product;
- Life style of people and the products useful for them;
- Level of acceptance of, or resistance to change;
- Values attached to a particular product i.e. possessive value or functional value in the product;
- Demand of specific products for specific occasions;
- The propensity to consume and to save.

GLOBAL ENVIRONMENT

Business organisation in every industry is facing the rising tide of globalization. The world has reduced to smaller place as a result of revolution of means of transport and communication and diffusion in information technology. So today, business organisation needs to think about setting and producing goods for customers globally. Globalization basically presents existing opportunities and challenges to many companies.

In this era of globalization, many multinationals derive more than half of their revenues from their overseas operations. Many Indian companies particularly in information technology sector such as Infosys Technologies, Tata Consultancy Services, Wipro, Satyam Computers, Hughes Software, etc., drive more than 70 percent of their revenues from overseas operations.

In the case of analyzing global environment in the context of threats through import and operations of multinational corporations in the country, the following factors are to be considered:

1. Comparative cost advantages through technological advancement and large scale production.
2. Tariff structure.
3. Attitudes of exporting nations and companies in the form of dumping and other means to take advantages over local companies.
4. Degree of subsidies and incentives, financial and non-financial, available to exporting companies.
5. Attitude of the customers abroad.

PHYSICAL ENVIRONMENT

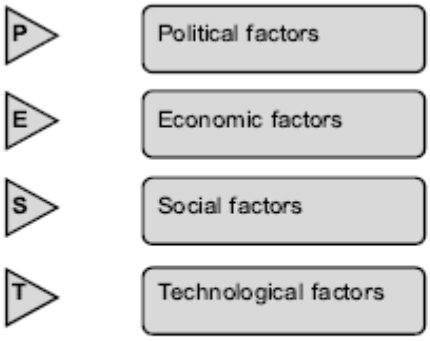
Other factors that influence international trading activities are related to the physical environment. Natural physical features, such as mountains and rivers, and human-made structures, such as bridges and roads, can have an impact on international trading activities. For example, a large number of potential customers may live in a country where natural physical barriers, such as mountains and rivers, make getting the product to market nearly impossible.

TOOLS FOR ENVIRONMENTAL ANALYSIS

Some tools for analysing international business environment are discussed below

PEST ANALYSIS

PEST analysis is an analysis of the political, economic, social and technological factors in the external environment of an organisation, which can affect its activities and performance. PEST analysis (Political, Economic, Social and Technological analysis) describes a framework of macro-environmental factors used in the environmental scanning component of strategic management. It is a part of the external environmental analysis when conducting a strategic analysis or doing market research, and gives an overview of the different macro environmental factors that the company has to take into consideration. It is a useful strategic tool for understanding market growth or decline, business position, potential and direction for operations.



1. ***Political factors*** are basically to what degree the government intervenes in the economy. Specifically, political factors include areas such as tax policy, labour law, environmental law, trade restrictions, tariffs,

   and political stability. Political factors may also include goods and services which the government wants to provide or be provided (merit goods) and those that the government does not want to be provided (demerit goods or merit bads). Furthermore, governments have great influence on the health, education, and infrastructure of a nation.

2. ***Economic factors*** include economic growth, interest rates, exchange rates and the inflation rate. These factors have major impacts on how businesses operate and make decisions. For example, interest rates affect a firm's cost of capital and therefore to what extent a business grows and expands. Exchange rates affect the costs of exporting goods and the supply and price of imported goods in an economy.

3. ***Social factors*** include the cultural aspects and include health consciousness, population growth rate, age distribution, career attitudes and emphasis on safety. Trends in social factors affect the demand for a company's products and how that company operates. For example, an aging population may imply a smaller and less-willing workforce (thus increasing the cost of labor). Furthermore, companies may change various management strategies to adapt to these social trends (such as recruiting older workers).

4. ***Technological factors*** include technological aspects such as R&D activity, automation, technology incentives and the rate of technological change. They can determine barriers to entry, minimum efficient production level and influence outsourcing decisions. Furthermore, technological shifts can affect costs, quality, and lead to innovation.

PEST analysis template

PEST analysis template	
Political	**Economic**
– Government stability and likely changes	– Growth rates
– Bureaucracy	– Inflation rate
– Corruption level	– Interest rates
– Tax policy (rates and incentives)	– Exchange rates
– Freedom of press	– Unemployment trends
– Regulation/de-regulation	– Labor costs
– Trade control	– Stage of business cycle
– Import restrictions (quality and quantity)	– Credit availability
– Tariffs	– Trade flows and patterns
– Competition regulation	– Level of consumers' disposable income
– Government involvement in trade unions and agreements	– Monetary policies
– Environmental Law	– Fiscal policies
– Education Law	– Price fluctuations
– Anti-trust law	– Stock market trends
– Discrimination law	– Weather
– Copyright, patents / Intellectual property law	– Climate change
– Consumer protection and e-commerce	
– Employment law	
– Health and safety law	
– Data protection law	
– Laws regulating environment pollution	

Socio-cultural	Technological
– Health consciousness	– Basic infrastructure level
– Education level	– Rate of technological change
– Attitudes toward imported goods and services	– Spending on research & development
– Attitudes toward work, leisure, career and retirement	– Technology incentives
– Attitudes toward product quality and customer service	– Legislation regarding technology
– Attitudes toward saving and investing	– Technology level in your industry
– Emphasis on safety	– Communication infrastructure
– Lifestyles	– Access to newest technology
– Buying habits	– Internet infrastructure and penetration
– Religion and beliefs	
– Attitudes toward "green" or ecological products	
– Attitudes toward and support for renewable energy	
– Population growth rate	
– Immigration and emigration rates	
– Age distribution and life expectancy rates	
– Sex distribution	
– Average disposable income level	
– Social classes	
– Family size and structure	
– Minorities	

PEST analysis example

The following table shows a PEST analysis example. It lists opportunities and threats that are affecting a firm in its macro environment.

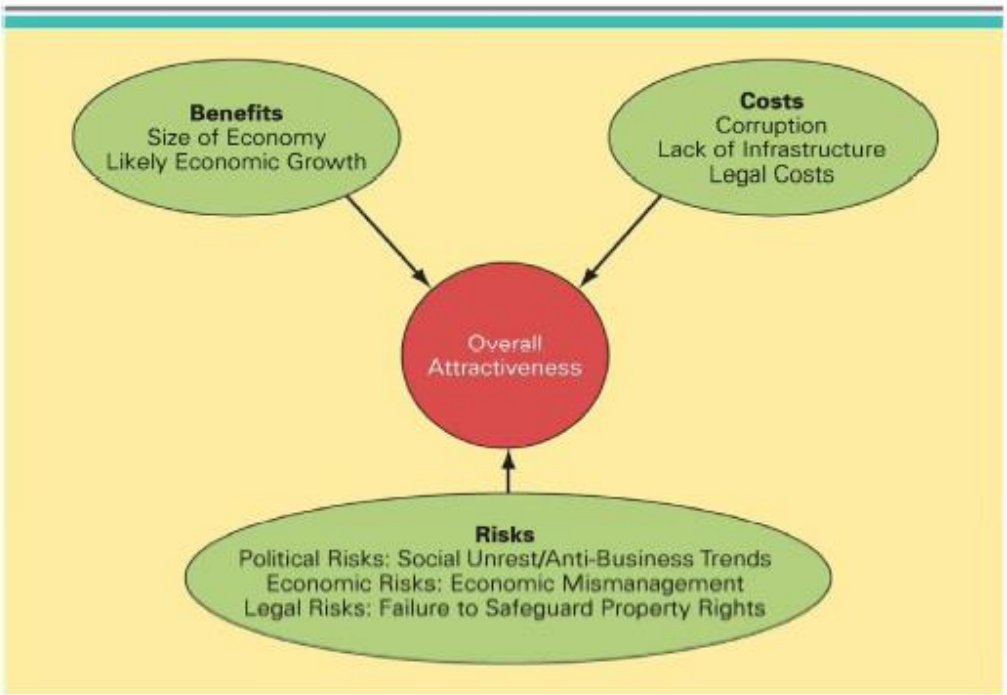
PEST analysis example	
Political	**Economic**
– Government has passed legislation which requires further reductions of CO_2, HC and NC emissions for vehicles until 2015	– GDP will grow by 3% in 2013
– New political forces, which are against tax reductions, may be elected in the next years' elections	– Availability of credit for businesses will slightly grow or remain unchanged in 2013. The same applies for the cost of credit in the 1 half of the year
– Import restrictions will increase in 2013	– Unemployment is expected to decrease to 7%
– Government is increasing its funding to 'specific' industry	– Inflation will fall to 3% or 2% in 2013
– Government is easing regulations for employment	· Corporate tax rate will decrease by 2% next year to 23%
– Increasing tensions between our government and our major export partner's government	– Dollar exchange rates are expected to decrease compared to euro
	– Disposable income level will decrease
	– Metal and oil prices will increase by 5% and 6% respectively in 2013
– Positive attitude towards "green" vehicles	– People change their eating habits and now tend to eat healthier food

Socio-cultural	Technological
– Number of individuals and companies buying through the Internet is 67% and 45% respectively and is expected to grow	– New machinery that could reduce production costs by 20% is in development
– Immigration is increasing	– Country's major telecom company announced its plans to expand its internet infrastructure and install new optic fiber cables
– Increasing attitude toward jobs with shorter work hours	– Driverless cars may be introduced in the near future
– People tend to buy more domestic rather than foreign products	– "New" type of table will be introduced into the market next year

1.5.Country attractiveness

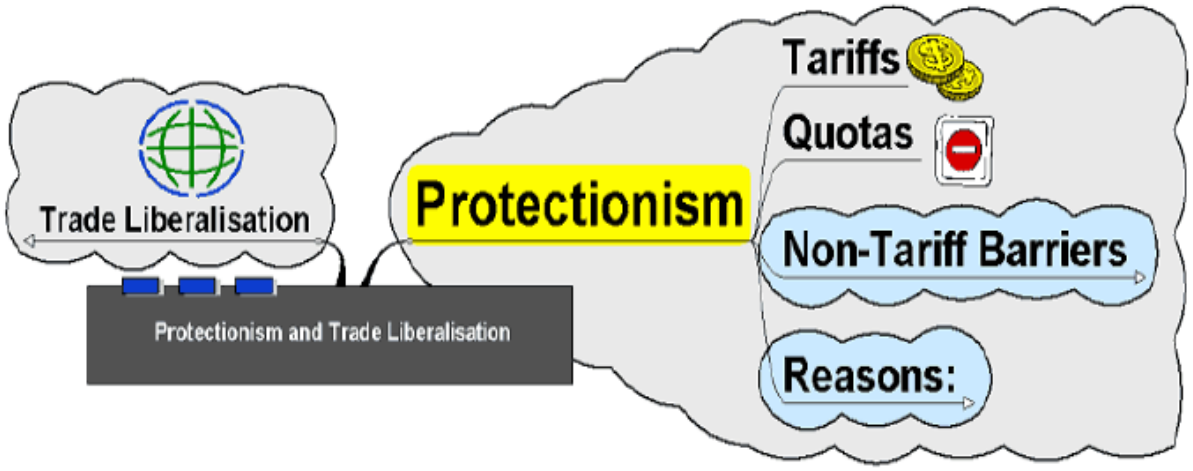
The overall attractiveness of a country as a potential market or investment site for an international business depends on balancing the benefits, costs, and risks associated with doing business in that country. Generally, the costs and risks associated with doing business in a foreign country are typically lower in economically advanced and politically stable democratic nations and greater in less developed and politically unstable nations. The calculus is complicated, however, because the potential long-run benefits are dependent not only upon a nation's current stage of economic development or political stability but also on likely future economic growth rates. Economic growth appears to be a function of a free market system and a country's capacity for growth (which may be greater in less developed nations). This leads one to conclude that, other things being equal, the benefit-cost-risk trade-off is likely to be most favorable in politically stable developed and developing nations that have free market systems and no dramatic upsurge in either inflation rates or private-sector debt. It is likely to be least favorable in politically unstable developing nations that operate with a mixed or command economy or in developing nations where speculative financial bubbles have led to excess borrowing.

FIGURE: Country Attractiveness



1.6. Protection Vs Liberalization of global business environment

Protectionism:



Protectionism means by which trade between countries is restricted in some way – normally through measures to reduce the number of imports coming into a country

Main means are:

- **Tariffs -** A tax on a good coming into a country. increases the price of the good and makes it less competitive
- **Quotas -** Physical restriction on the number of goods coming into a country.
- **Non-Tariff Barriers -** Any methods not covered by a tariff, most usually:

• Rules
• Regulations
• Voluntary Export Restraints (VERs)
• Legislation
• Exacting Standards or Specifications

Trade Liberalisation

The removal of or reduction in the trade practices that thwart free flow of goods and services from one nation to another. It includes dismantling of tariff (such as duties, surcharges, and export subsidies) as well as nontariff barriers (such as licensing regulations, quotas, and arbitrary standards).

In economy and trade

Privatization, also spelled as privatization, may have several meanings. Primarily, it is the process of transferring ownership of a business, enterprise, agency, public service or public

property from the public sector (a government) to the private sector, either to a business that operates for a profit or to a nonprofit organization. It may also mean government outsourcing of services or functions to private firms, e.g. revenue collection, law enforcement, and prison management

Privatization has also been used to describe two unrelated transactions. The first is the buying of all outstanding shares of a publicly traded company by a single entity, making the company privately owned. This is often described as private equity. The second is a demutualization of a mutual organization or cooperative to form a joint-stock company.

Although economic liberalization is often associated with privatization, the two are distinct concepts. For example, the European Union has liberalized gas and electricity markets, instituting a competitive system, but some leading European energy companies such as France's EDF and Sweden's Vattenfall remain partially or completely in government ownership. Liberalized and privatized public services may be dominated by just a few big companies particularly in sectors with high capital costs, or high water, gas, or electricity costs. In some cases they may remain legal monopolies, at least for some segments of the market (like small consumers).

Liberalization is one of three focal points (the others being privatization and stabilization) of the Washington Consensus's trinity strategy for economies in transition. There is also a concept of hybrid liberalization as, for instance, in Ghana where cocoa crop can be sold to a variety of competing private companies, but there is a minimum price for which it can be sold and all exports are controlled by the state.

HINDUSTHAN INSTITUTE OF TECHNOLOGY

DEPARARTMENT OF MANAGEMENT SCIENCES

UNIT II INTERNATIONAL TRADE AND INVESTMENT 11

Promotion of global business – the role of GATT/WTO – multilateral trade negotiation and agreements – VIII & IX, round discussions and agreements – Challenges for global business – global trade and investment – theories of international trade and theories of international investment – Need for global competitiveness – Regional trade block – Types – Advantages and disadvantages – RTBs across the globe – brief history.

2.1. PROMOTION OF GLOBAL BUSINESS

Forces that Drive Globalization

Let us discuss the driving forces :

1) The Process of Liberalization: The most important factor that has given a great impetus, to globalization since the 1980's is the process of economic liberalization that has swept across world economics. Some of the liberalization, privatization and deregulation can be said to be a result of the policies of the World Bank and the IMF, others can be said to be a consequence of GATT/WTO outcomes but many are simply a change towards the 'world as one market'. Even China has brought in a unique system of economic policy changes, while the collapse of the East Bloc consisting of the socialist/communist nations of East Europe lead by erstwhile USSR have all opened up their markets. India itself went in for major economic policy changes through the New Industrial Policy in 1991. All these changes are creating greater global integration in the world.

2) MNCs: Multinational enterprises link their resources and objectives with world market opportunities, and are a powerful force driving globalisation. As a result of liberalisation there has been a fast growth in the number of MNCs and their global network of affiliates. The MNCs leverage their strengths to link global resources and opportunities and strengthen the globalisation trend.

3) Technology : Technology is a powerful driving force of globalisation. Technological advances have pushed for globalisation. Technology has in fact been a very important facilitating factor of globalisation, as it involves greater costs and risks. This makes it imperative for firms to tap world markets and to share these costs and risks. Falling transport and communication costs creating the "death" of distance have made it economical to integrate distant operations and ship

products and components across the globe in the search of efficiency. This also contributes to efficiency-seeking FDI, with important implications for the export competitiveness of countries. Technological developments often result in internationalisation. Technological break-throughs are substantially increasing economies of scale and are vital for globalisation. The monopoly of technology, like possession of patented technology, encourages internationalisation because the firm can exploit the demand without any competition.

4) Transportation and Communication is Faster and Cheaper Nowadays: Technological revolution in transportation and communication, has given a great impetus to globalisation by their contribution to the reduction of the disadvantages of distance and cost. The IT revolution has resulted in the emergence of the global village. Indeed computers have vastly increased the amount of information that can be processed by individuals and firms. Global communications have been revolutionized by developments in satellite, optical fiber, and wireless technologies the internet and the World Wide Web. The developments in the field of air cargo transportation have fostered globalisation by enabling quick and safe transportation of sensitive goods (like perishables and goods subject to quick changes in fashion and taste). Developments of containerization and refrigeration have also been of high significance. The steep fall in the cost of transportation and Communication have considerably accelerated pace of globalisation. All these have contributed to the drastic transformation of the logistical and global distribution of the value chain system. The world-wide web has had a stupendous impact on globalisation. Thus, Global sourcing has been encouraged not only by trade liberalisation but also by technological developments.

5) Product Development Costs and Efforts : The cost of new product development is enormous in industries such as pharmaceuticals. To justify these costs a global market is essential. Fast technological changes which hasten product obsolescence necessitate a short payback period. This can be realized only with a very large global market. The huge investment and diverse requirements of skill associated with new product development fuel cross-border alliances in research and development. In many cases different phases of the product development are carried out in different countries either by a company's own affiliates or through outsourcing.

6) Quality and Cost : The two most important determinants of demand are the quality and price of the offering. These can be better achieved when a firm is global in its operations.

7) Higher Aspirations and Wants of the Consumer : The aspirations of people all around the world are rising. This is a result of the impact of media, greater education and mobility of consumers. If domestic firms are not able to cater to the wants, they would naturally turn to foreign goods and services. The customer today is, by and large, global. He wants a world-class product or a product of desired attributes. The consumer is also becoming more and more aware of his rights and is also more prices conscious.

8) Competition: An important force that drives globalisation is increasing competition. It compels firms to explore new ways of increasing their efficiency. It also results in international production taking new forms, with new ownership and contractual arrangements and new activities being located in new sites abroad in order to reduce costs.

9) World Economic Trends : Some world economic trends, add momentum to the globalisation trend. One of the important trends is the difference in the growth rates of the economies/markets. The comparatively slow growth of the developed economies or the stagnation of some of their markets and the fast growth of a number of developing countries prompt firms of developed countries to turn to the expanding markets elsewhere. The differences in the growth characteristics exist even within the categories of developed and developing countries. Secondly, domestic economic growth and outside opportunities reduce the opposition to globalisation. A classic example is China. China has benefitted tremendously out of foreign investment; the fast growing Chinese economy provides scope for a large number of players in the expanding market. At the same time, China is exploiting business opportunities outside the country. Economic liberalisation, characterized by deregulation and privatization are driving Globalization.

10) Regional Integration : Regional integration schemes, like the European Union (EU) and North American Free Trade Agreement (NAFTA), foster the globalisation trend. A major part of global trade is intra-regional trade (i.e., trade between the members of trade blocs). These regional blocs also give an impetus to cross-border investments and financial flows.

11) Leverages : A global company can leverage its experience to expand its global operations. The more the number of countries it operates in, the greater could be the scope of leverage. The term 'Leverage implies- 'an advantage' that a company enjoys by virtue of the fact that it conducts business in more than one country'. A global company possesses the following four important types of leverages.

□□***Experience transfers:*** A great strength of a global corporation is the experience it can leverage for expanding or strengthening its global operations. It can draw on management practices, strategies, new products, advertising appeals, or sales and promotion ideas that have been tested in actual markets and apply them in other comparable markets.

□□***Scale economics:*** Cost is one of the important determinants of success. Cost advantage, in many cases, derives out of scale economies. The economies of scale have been expanding in a number of industries. To realize scale economies, it is often essential to go after the global market.

□□***Resources utilization:*** A major strength of a global company is its competence in sourcing the resources globally at competitive rates and more favorable terms and conditions.

□□***Global strategy:*** The global company's greatest advantage can be its global strategy. A global strategy is built on an information system that scans the world business environment to identify opportunities, trends, threats, and resources. It leverages its skills and focuses its resources to create superior perceived value for customers and achieve competitive advantage. The global strategy is a design to create a winning offering on a global scale.

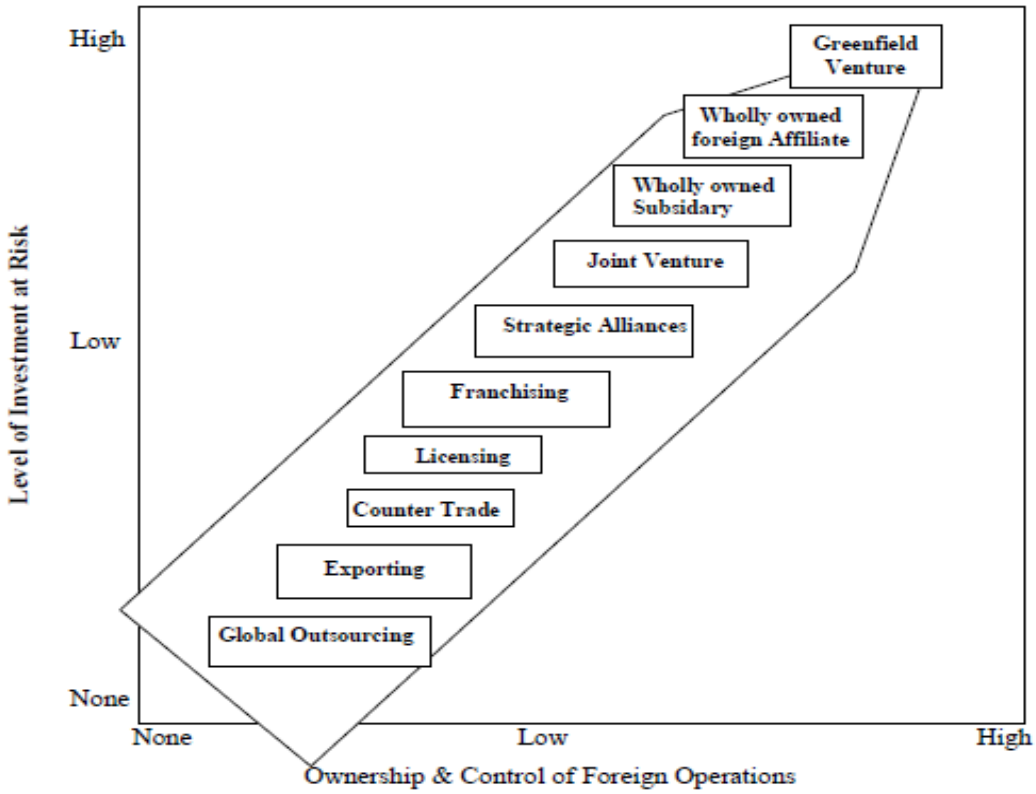
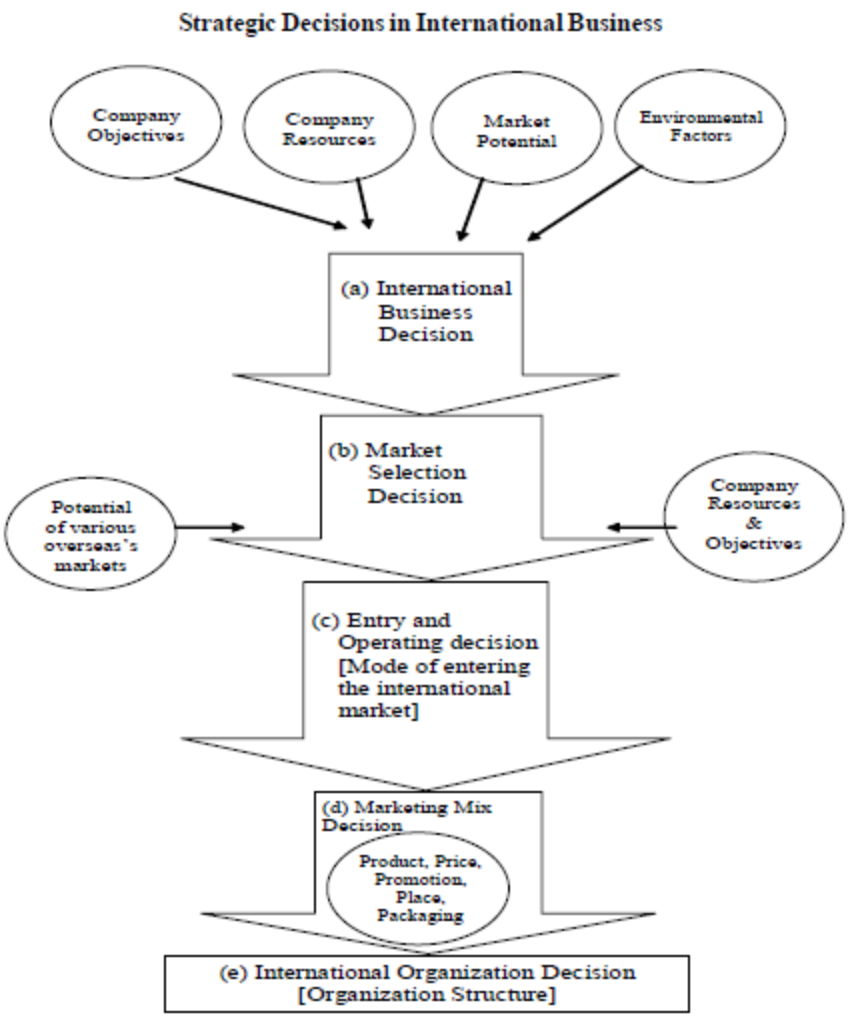


Figure Strategies for Entering Foreign Markets



(a) International Business Decision:

The first decision a company has to make is whether to enter international business or not. This decision is based on the consideration of a number of factors, such as the present and future overseas opportunities, present and future domestic market opportunities, the resources of the company (particularly skill, experience, production and marketing capabilities and finance), company objectives and vision etc.

(b) Market Selection Decision:

Once it has been decided to go international, the next step is the selection of the most appropriate market. For this purpose, analysis of the potential of the various overseas markets and their respective marketing environments is essential. Company resources and objectives may not permit a company to do business in all the overseas markets.

(c) Entry and Operating Decisions:

Once the market selection decision has been made, the next important task is to determine the appropriate mode of entering the international market.

(d) Marketing Mix Decision :

The international market is characterized by a number of variables. The success of international marketing, depends to a large extent on the appropriateness of the marketing mix. The elements of the marketing mix-product, promotion, price, packaging and physical distribution-should be suitably designed so that they may be adapted to the requirements of the overseas market.

(e) International Organisation Decision:

A company which wants to go international must also decide about its organizational structure. This decision should be based on a careful consideration of such factors as the expected volume of export business, the nature of the overseas market, the nature of the product, the size and resources of the company, and its previous export experience.

2.2 THE WTO STRUCTURE

The structure of the WTO is dominated by its highest authority-the Ministerial Conference. This body is composed of representatives of all WTO members. It meets every two years and is empowered to make decisions on all matters under any of the multilateral trade agreements

The Ministerial Conferences have been taking place regularly, though the outcomes have not been on the expected lines. The Ministerial Conference held in 2002-popularly called the Doha Round-focused on issues such as eliminating agricultural tariffs and subsidies, reducing tariffs on manufactured goods exported to developing countries, and freeing trade in services. Although, the Doha negotiations were supposed to be completed by 2007, the talks deadlocked.

The day-to-day work of the WTO is entrusted to a number of subsidiary bodies; principally, the General Council, also composed of all WTO members, which is required to report to the Ministerial Conference.

The General Council also convenes in two particular forms-as the Dispute Settlement Body and the Trade Policy Review Body. The former overseas the dispute settlement procedures and the latter conducts regular reviews of trade policies of individual WTO members.

The General Council delegates responsibility to three other bodies-namely.

- The Councils for Trade in Goods,
- Trade in Services, and
- Trade-Related Aspects of Intellectual Property Rights.

The Council for Goods overseas the implementation and functioning of all the agreements covering trade in goods. though many such agreements have their own specific overseeing bodies. The latter two Councils have responsibility for their respective WTO agreements and may establish their own subsidiary bodies as deemed necessary.

Three other bodies are established by the Ministerial Conference who report to the General Council. The Committee on Trade and Development is concerned with issues relating to the developing countries and especially, to the 'least-developed' among them. The Committee on Balance of Payments is responsible for consultations among WTO members and countries that resort to trade restrictive measures in order to cope with their balance of payments difficulties. Finally, issues relating to WTO's financing and budget are dealt with by a Committee on Budget, Finance, and Administration.

Each of the plurilateral agreements of the WTO-those on civil aircraft, government procurement, dairy products and bovine meat-establish their own management bodies. which are required to report to the General Council.

PRINCIPLES OF WTO

The WTO is based on nine principles. These principles are explained below.

Transparency

WTO aims at achieving transparency in world trade relations brobligating members to publish their respective laws, regulations. judicial decisions and administrative rulings pertaining to the classification or valuation of products for customs, rates of duty. taxes or other charges affecting sale. distribution, transportation, insurance and warehousing with the objectives of enabling governments and traders to become familiar with them. This helps exporters plan their trade and safeguard them against hassles.

INTRODUCTION:

The World Trade Organization (WTO) is an organization that intends to supervise and liberalize international trade. The WTO is the only global international organization dealing with the rules of trade between nations.

At its heart are the WTO agreements, negotiated and signed by the bulk of world's trading nations and ratified in their parliaments. The goal is to help producers of goods and services, exporters and importers conduct their business.

The WTO superseded and replaced the GATT which was a provisional, multilateral agreement governing international trade from 1947 until Jan 1, 1995.

The WTO has larger membership than GATT, the number of members stand at 153. India is one the founding members of the WTO.

INFORMATION

- Established: 1st January 1995.
- Created By: Uruguay Round negotiations (1986-1994)
- Headquarter: Geneva, Switzerland
- Membership: 164 member states (till 2016)
- Secretariat Staff: 640
- Head: Roberto Azevêdo (Director-General)
- Budget: 196 million Swiss francs (approx)

FORMATION

- The GATT was the only multilateral instrument governing international trade from 1948 until the WTO was established in 1995. The GATT managed to operate for almost half a century as a semi institutionalized multilateral treaty regime on a provisional basis.
- Seven rounds of negotiations occurred under the GATT
- The Tokyo round during the 70s was the first major attempt to tackle trade barriers that do not take the form of tariffs and to improve the system but the agreements were not accepted by all the member nations of GATT.
- These agreements and policies were amended in URUGUAY ROUND leading to acceptance by the member nations and formation of WTO.
- This final act concluding the Uruguay round and officially establishing the WTO regime was signed in 1994 at Marrakesh, Morroco and hence known as Marrakesh Agreement.

OBJECTIVE OF THE WTO

- To implement the new world trade system as visualized in the agreement
- To promote world trade in a manner that benefits every country
- To ensure developing countries secure a better balance in sharing of the advantages resulting from the expansion of international trade corresponding to their developmental needs
- To enhance competitiveness among all trading nations as to benefit customers
- To increase the level of production and productivity with a view of ensuring level of employment in the world
- To demolish all hurdles in to an open world trading system and usher in international economic renaissance

PRINCIPLES OF WTO:

WTO works according to the following principles:

1. Trade without Discrimination
   i. Most-Favoured Nation (MFN) – Treating other people equally
   ii. National Treatment – Treating Foreigners and Locals Equally
2. Freer Trade- Gradually, through Negotiations
3. Predictability-through Binding and Transparency
4. Promoting Fair Competition
5. Encouraging Development and Economic Reform.

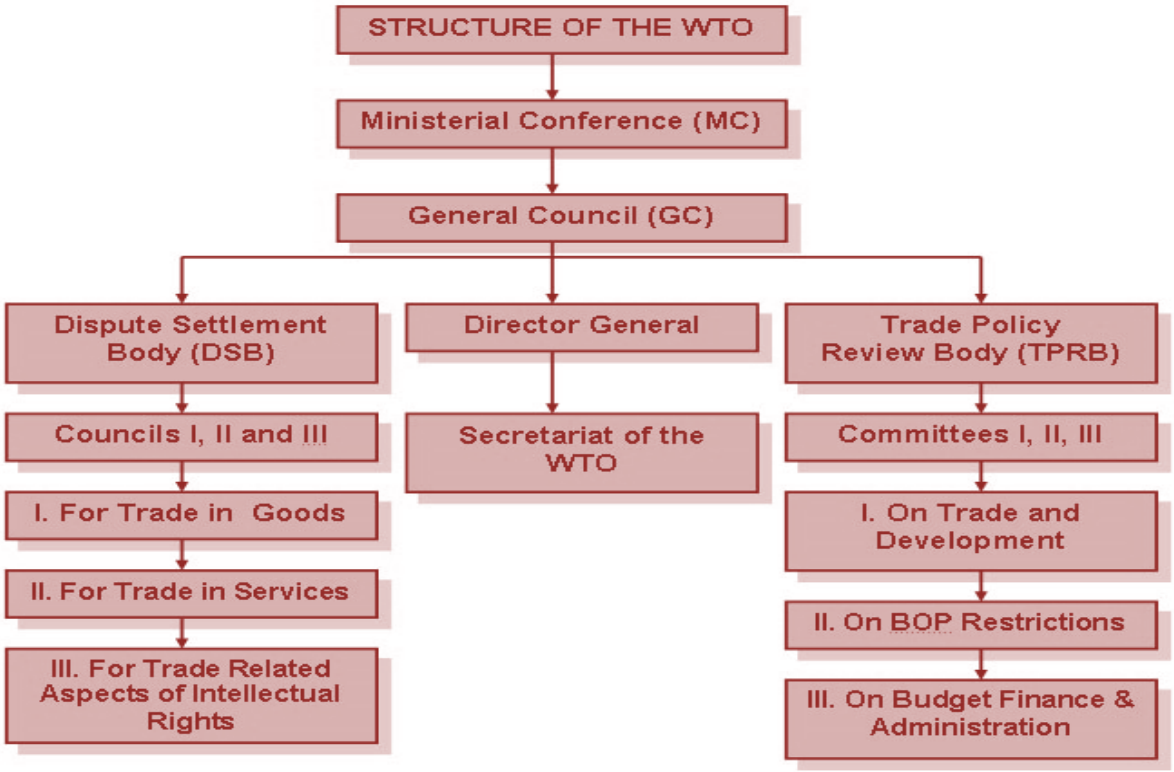
ROLE / FUNCTIONS OF WTO:

1. Helping Developing and Transition Economies
2. Specialized help for Export
3. WTO in Global Economic Policy making
4. Taking Information
5. Giving Information to Public
6. Encouraging Development and Economic Reform.

GATT & WTO TRADE ROUNDS

Sr.	Round	Place	Year	Features
1.	First	Geneva (Switzerland)	1947	Tariff cuts for 45000 products worth $10 billion of trade on an annual basis .
2.	Second	Annecy (France)	1949	Custom duty were reduced for another 5000 items of goods.
3.	Third	Torquay (Britain)	1950-51	Adopted 8700 tariff reduction.
4.	Fourth	Geneva (Switzerland)	1955-56	To further cut duties for goods worth $2.5 billion.
5.	Fifth	Geneva (Switzerland)	1960-62	It was known as Dillon Round. Custom duties charged for 4000 items worth $5 billion.
6.	Sixth	Geneva (Switzerland)	1964-67	It was known as Kennedy Round. Cut tariffs for industrial goods upto 50%.
7.	Seventh	Tokyo (Japan)	1973-79	Ended at Geneva. Participants cut custom duties by 20-30% for goods traded.
8.	Eight	Uruguay	1986-93	This was known as Uruguay Round. Lead to the formation of WTO.

THE WTO STRUCTURE



THE WTO AND INDIA

- After Marrakesh Agreement, India joined WTO since inception in 1995.
- Developing countries like India availed of greater trade opportunities and also challenged a certain policies of developed countries.
- For India, exposure to volatile international market would affect not only domestic prices but also incomes of poor.
- Aim to participate in WTO rule based system with greater stability, transparency and predictability in governance of international trade.

IMPACT OF WTO

1. POSITIVE IMPACT ON INDIAN ECONOMY

i. Promotes Peace within Nations
ii. Disputers are Handled Constructively
iii. Rules Make Life Easier for All
iv. Free Trade Cuts the Cost of Living
v. It provides more Choice of Products and Qualities
vi. Trade Raises Income

vii. Trade Stimulates Economic Growth
viii. Basic Principles make life more Efficient
ix. System encourage Good Governance
x. Governments are shielded form Lobbying.

2. NEGATIVE IMPACT ON INDIAN ECONOMY

i. Fundamentally Undemocratic
ii. Tramples Labour and Human Rights
iii. Increasing Inequality
iv. Hurts Poor, Small Countries in Favour of Rich Powerful Nations
v. Undermines Local Level Decision-Making and National Sovereignty

INTERNATIONAL TRADE THEORIES

International trade theories are simply different theories to explain international trade. Trade is the concept of exchanging goods and services between two people or entities. *International trade* is then the concept of this exchange between people or entities in two different countries.

People or entities trade because they believe that they benefit from the exchange. They may need or want the goods or services. While at the surface, this many sound very simple, there is a great deal of theory, policy, and business strategy that constitutes international trade.

In this section, you'll learn about the different trade theories that have evolved over the past century and which are most relevant today. Additionally, you'll explore the factors that impact international trade and how businesses and governments use these factors to their respective benefits to promote their interests.

The main historical theories are called *classical* and are from the perspective of a country, or country-based. By the mid-twentieth century, the theories began to shift to explain trade from a firm, rather than a country, perspective. These theories are referred to as *modern* and are firm-based or company-based. Both of these categories, classical and modern, consist of several international theories.

Classical Country-Based Theories	Modern Firm-Based Theories
Mercantilism	Country Similarity
Absolute Advantage	Product Life Cycle
Comparative Advantage	Global strategic Rivalry
Heckscher-Ohlin	Porter's National Competitive Advantage

Classical or Country-Based Trade Theories

Mercantilism

Developed in the sixteenth century, mercantilism was one of the earliest efforts to develop an economic theory. This theory stated that a country's wealth was determined by the amount of its gold and silver holdings. In its simplest sense, mercantilists believed that a country should increase its holdings of gold and silver by promoting exports and discouraging imports. In other words, if people in other countries buy more from you (exports) than they sell to you (imports), then they have to pay you the difference in gold and silver. The objective of each country was to have a trade surplus, or a situation where the value of exports are greater than the value of imports, and to avoid a trade deficit, or a situation where the value of imports is greater than the value of exports.

A closer look at world history from the 1500s to the late 1800s helps explain why mercantilism flourished. The 1500s marked the rise of new nation-states, whose rulers wanted to strengthen their nations by building larger armies and national institutions. By increasing exports and trade, these rulers were able to amass more gold and wealth for their countries. One way that many of these new nations promoted exports was to impose restrictions on imports. This strategy is called protectionism and is still used today.

Nations expanded their wealth by using their colonies around the world in an effort to control more trade and amass more riches. The British colonial empire was one of the more successful examples; it sought to increase its wealth by using raw materials from places ranging from what are now the Americas and India. France, the Netherlands, Portugal, and Spain were also successful in building large colonial empires that generated extensive wealth for their governing nations.

Although mercantilism is one of the oldest trade theories, it remains part of modern thinking. Countries such as Japan, China, Singapore, Taiwan, and even Germany still favor exports and discourage imports through a form of neo-mercantilism in which the countries promote a combination of protectionist policies and restrictions and domestic-industry subsidies. Nearly every country, at one point or another, has implemented some form of protectionist policy to guard key industries in its economy. While export-oriented companies usually support protectionist policies that favor their industries or firms, other companies and consumers are hurt by protectionism. Taxpayers pay for government subsidies of select exports in the form of higher taxes. Import restrictions lead to higher prices for consumers, who pay more for foreign-made goods or services. Free-trade advocates highlight how free trade benefits all members of the global community, while mercantilism's protectionist policies only benefit select industries, at the expense of both consumers and other companies, within and outside of the industry.

Absolute Advantage

In 1776, Adam Smith questioned the leading mercantile theory of the time in *The Wealth of Nations*.Adam Smith, *An Inquiry into the Nature and Causes of the Wealth of Nations* (London: W. Strahan and T. Cadell, 1776). Recent versions have been edited by scholars and economists. Smith offered a new trade theory called absolute advantage, which focused on the ability of a country to produce a good more efficiently than another nation. Smith reasoned that trade between countries shouldn't be regulated or restricted by government policy or intervention. He stated that trade should flow naturally according to market forces. In a hypothetical two-country world, if Country A could produce a good cheaper or faster (or both) than Country B, then Country A had the advantage and could focus on specializing on producing

that good. Similarly, if Country B was better at producing another good, it could focus on specialization as well. By specialization, countries would generate efficiencies, because their labor force would become more skilled by doing the same tasks. Production would also become more efficient, because there would be an incentive to create faster and better production methods to increase the specialization.

Smith's theory reasoned that with increased efficiencies, people in both countries would benefit and trade should be encouraged. His theory stated that a nation's wealth shouldn't be judged by how much gold and silver it had but rather by the living standards of its people.

Comparative Advantage

The challenge to the absolute advantage theory was that some countries may be better at producing both goods and, therefore, have an advantage in *many* areas. In contrast, another country may not have *any* useful absolute advantages. To answer this challenge, David Ricardo, an English economist, introduced the theory of comparative advantage in 1817. Ricardo reasoned that even if Country A had the absolute advantage in the production of *both* products, specialization and trade could still occur between two countries.

Comparative advantage occurs when a country cannot produce a product more efficiently than the other country; however, it *can* produce that product better and more efficiently than it does other goods. The difference between these two theories is subtle. Comparative advantage focuses on the relative productivity differences, whereas absolute advantage looks at the absolute productivity.

Let's look at a simplified hypothetical example to illustrate the subtle difference between these principles. Miranda is a Wall Street lawyer who charges $500 per hour for her legal services. It turns out that Miranda can also type faster than the administrative assistants in her office, who are paid $40 per hour. Even though Miranda clearly has the absolute advantage in both skill sets, should she do both jobs? No. For every hour Miranda decides to type instead of do legal work, she would be giving up $460 in income. Her productivity and income will be highest if she specializes in the higher-paid legal services and hires the most qualified administrative assistant,

who can type fast, although a little slower than Miranda. By having both Miranda and her assistant concentrate on their respective tasks, their overall productivity as a team is higher. This is comparative advantage. A person or a country will specialize in doing what they do *relatively* better. In reality, the world economy is more complex and consists of more than two countries and products. Barriers to trade may exist, and goods must be transported, stored, and distributed. However, this simplistic example demonstrates the basis of the comparative advantage theory.

Heckscher-Ohlin Theory (Factor Proportions Theory)

The theories of Smith and Ricardo didn't help countries determine which products would give a country an advantage. Both theories assumed that free and open markets would lead countries and producers to determine which goods they could produce more efficiently. In the early 1900s, two Swedish economists, Eli Heckscher and Bertil Ohlin, focused their attention on how a country could gain comparative advantage by producing products that utilized factors that were in abundance in the country. Their theory is based on a country's production factors—land, labor, and capital, which provide the funds for investment in plants and equipment. They determined that the cost of any factor or resource was a function of supply and demand. Factors that were in great supply relative to demand would be cheaper; factors in great demand relative to supply would be more expensive. Their theory, also called the factor proportions theory, stated that countries would produce and export goods that required resources or factors that were in great supply and, therefore, cheaper production factors. In contrast, countries would import goods that required resources that were in short supply, but higher demand.

For example, China and India are home to cheap, large pools of labor. Hence these countries have become the optimal locations for labor-intensive industries like textiles and garments.

Leontief Paradox

In the early 1950s, Russian-born American economist Wassily W. Leontief studied the US economy closely and noted that the United States was abundant in capital and, therefore, should export more capital-intensive goods. However, his research using actual data showed the

opposite: the United States was importing more capital-intensive goods. According to the factor proportions theory, the United States should have been importing labor-intensive goods, but instead it was actually exporting them. His analysis became known as the Leontief Paradox because it was the reverse of what was expected by the factor proportions theory. In subsequent years, economists have noted historically at that point in time, labor in the United States was both available in steady supply and more productive than in many other countries; hence it made sense to export labor-intensive goods. Over the decades, many economists have used theories and data to explain and minimize the impact of the paradox. However, what remains clear is that international trade is complex and is impacted by numerous and often-changing factors. Trade cannot be explained neatly by one single theory, and more importantly, our understanding of international trade theories continues to evolve.

Modern or Firm-Based Trade Theories

In contrast to classical, country-based trade theories, the category of modern, firm-based theories emerged after World War II and was developed in large part by business school professors, not economists. The firm-based theories evolved with the growth of the multinational company (MNC). The country-based theories couldn't adequately address the expansion of either MNCs or intraindustry trade, which refers to trade between two countries of goods produced in the same industry. For example, Japan exports Toyota vehicles to Germany and imports Mercedes-Benz automobiles from Germany.

Unlike the country-based theories, firm-based theories incorporate other product and service factors, including brand and customer loyalty, technology, and quality, into the understanding of trade flows.

Country Similarity Theory

Swedish economist Steffan Linder developed the country similarity theory in 1961, as he tried to explain the concept of intraindustry trade. Linder's theory proposed that consumers in countries that are in the same or similar stage of development would have similar preferences. In this firm-based theory, Linder suggested that companies first produce for domestic consumption. When

they explore exporting, the companies often find that markets that look similar to their domestic one, in terms of customer preferences, offer the most potential for success. Linder's country similarity theory then states that most trade in manufactured goods will be between countries with similar per capita incomes, and intraindustry trade will be common. This theory is often most useful in understanding trade in goods where brand names and product reputations are important factors in the buyers' decision-making and purchasing processes.

Product Life Cycle Theory

Raymond Vernon, a Harvard Business School professor, developed the product life cycle theory in the 1960s. The theory, originating in the field of marketing, stated that a product life cycle has three distinct stages: (1) new product, (2) maturing product, and (3) standardized product. The theory assumed that production of the new product will occur completely in the home country of its innovation. In the 1960s this was a useful theory to explain the manufacturing success of the United States. US manufacturing was the globally dominant producer in many industries after World War II.

It has also been used to describe how the personal computer (PC) went through its product cycle. The PC was a new product in the 1970s and developed into a mature product during the 1980s and 1990s. Today, the PC is in the standardized product stage, and the majority of manufacturing and production process is done in low-cost countries in Asia and Mexico.

The product life cycle theory has been less able to explain current trade patterns where innovation and manufacturing occur around the world. For example, global companies even conduct research and development in developing markets where highly skilled labor and facilities are usually cheaper. Even though research and development is typically associated with the first or new product stage and therefore completed in the home country, these developing or emerging-market countries, such as India and China, offer both highly skilled labor and new research facilities at a substantial cost advantage for global firms.

Global Strategic Rivalry Theory

Global strategic rivalry theory emerged in the 1980s and was based on the work of economists Paul Krugman and Kelvin Lancaster. Their theory focused on MNCs and their efforts to gain a competitive advantage against other global firms in their industry. Firms will encounter global competition in their industries and in order to prosper, they must develop competitive advantages. The critical ways that firms can obtain a sustainable competitive advantage are called the barriers to entry for that industry. The barriers to entry refer to the obstacles a new firm may face when trying to enter into an industry or new market. The barriers to entry that corporations may seek to optimize include:

- research and development,
- the ownership of intellectual property rights,
- economies of scale,
- unique business processes or methods as well as extensive experience in the industry, and
- the control of resources or favorable access to raw materials.

Porter's National Competitive Advantage Theory

In the continuing evolution of international trade theories, Michael Porter of Harvard Business School developed a new model to explain national competitive advantage in 1990. Porter's theorystated that a nation's competitiveness in an industry depends on the capacity of the industry to innovate and upgrade. His theory focused on explaining why some nations are more competitive in certain industries. To explain his theory, Porter identified four determinants that he linked together. The four determinants are (1) local market resources and capabilities, (2) local market demand conditions, (3) local suppliers and complementary industries, and (4) local firm characteristics.

1. **Local market resources and capabilities (factor conditions).** Porter recognized the value of the factor proportions theory, which considers a nation's resources (e.g., natural resources and available labor) as key factors in determining what products a country will import or export. Porter added to these basic factors a new list of advanced factors, which he defined as skilled labor, investments in education, technology, and infrastructure. He perceived these advanced factors as providing a country with a sustainable competitive advantage.
2. **Local market demand conditions.** Porter believed that a sophisticated home market is critical to ensuring ongoing innovation, thereby creating a sustainable competitive advantage. Companies whose domestic markets are sophisticated, trendsetting, and demanding forces continuous innovation and the development of new products and

technologies. Many sources credit the demanding US consumer with forcing US software companies to continuously innovate, thus creating a sustainable competitive advantage in software products and services.

3. **Local suppliers and complementary industries.** To remain competitive, large global firms benefit from having strong, efficient supporting and related industries to provide the inputs required by the industry. Certain industries cluster geographically, which provides efficiencies and productivity.
4. **Local firm characteristics.** Local firm characteristics include firm strategy, industry structure, and industry rivalry. Local strategy affects a firm's competitiveness. A healthy level of rivalry between local firms will spur innovation and competitiveness.

In addition to the four determinants of the diamond, Porter also noted that government and chance play a part in the national competitiveness of industries. Governments can, by their actions and policies, increase the competitiveness of firms and occasionally entire industries.

Porter's theory, along with the other modern, firm-based theories, offers an interesting interpretation of international trade trends. Nevertheless, they remain relatively new and minimally tested theories.

Which Trade Theory Is Dominant Today?

The theories covered in this chapter are simply that—theories. While they have helped economists, governments, and businesses better understand international trade and how to promote, regulate, and manage it, these theories are occasionally contradicted by real-world events. Countries don't have absolute advantages in many areas of production or services and, in fact, the factors of production aren't neatly distributed between countries. Some countries have a disproportionate benefit of some factors. The United States has ample arable land that can be used for a wide range of agricultural products. It also has extensive access to capital. While it's labor pool may not be the cheapest, it is among the best educated in the world. These advantages in the factors of production have helped the United States become the largest and richest economy in the world. Nevertheless, the United States also imports a vast amount of goods and

services, as US consumers use their wealth to purchase what they need and want—much of which is now manufactured in other countries that have sought to create their own comparative advantages through cheap labor, land, or production costs.

As a result, it's not clear that any one theory is dominant around the world. This section has sought to highlight the basics of international trade theory to enable you to understand the realities that face global businesses. In practice, governments and companies use a combination of these theories to both interpret trends and develop strategy. Just as these theories have evolved over the past five hundred years, they will continue to change and adapt as new factors impact international trade.

REGIONAL TRADE BLOCKS

In general terms, regional trade blocks are associations of nations at a governmental level to promote trade within the block and defend its members against global competition. Defense against global competition is obtained through established tariffs on goods produced by member states, import quotas, government subsidies, onerous bureaucratic import processes, and technical and other non-tariff barriers.

Since trade is not an isolated activity, member states within regional blocks also cooperate in economic, political, security, climatic, and other issues affecting the region.

In terms of their size and trade value, there are four major trade blocks and a larger number of blocks of regional importance.

The four major regional trade blocks are, as follows:

ASEAN (Association of Southeast Asian Nations) ***Updated 17 Apr 2017***

Established on August 8, 1967, in Bangkok/Thailand.Member States: Brunei Darussalam, Cambodia, Indonesia, Laos, Malaysia, Myanmar, Philippines, Singapore, Thailand, and Vietnam. .Goals: (1) Accelerate economic growth, social progress and cultural development in the region and (2) Promote regional peace and stability and adhere to United Nations Charter. Important Indicators for 2014: Population 622 million; GDP US$2.6 trillion; and Total Trade S$1 trillion. (Fact Sheet April 2016, ASEAN Website.)

ASEAN Economic Community (AEC): Learn more about ASEAN Leaders' vision to transform ASEAN into a single market and production base that is highly competitive and fully integrated into the global ecomony.

EU (European Union) ***Updated 17 Apr 2017***Founded in 1951 by six neighboring states as the

European Coal and Steel Community (ECSC). Over time evolved into the European Economic Community, then the European Community and, in 1992, was finally transformed into the European Union.
Regional block with the largest number of members states (28). These include Austria, Belgium, Bulgaria, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Ireland,Italy, Latvia, Lithuania, Luxembourg, Malta, Poland, Portugal, Romania, Slovakia, Slovenia, Spain, Sweden,The Netherlands, and the United Kingdom.

Population estimated at 515 million (July 2016); GDP (PPP) estimated at US$19.18 trillion (2016); and Total Trade US$4.503 trillion (2014 est.) [All figures from CIA World Factbook updated 12 January 2017.]

MERCOSUR (Mercado Comun del Cono Sul - Southern Cone Common Market) ***Updated 17 Apr 2017***
Official site is available only in Spanish and Portuguese.
Established on 26 March 1991 with the Treaty of Assunción. Full members include Argentina, Bolivia, Brazil, Paraguay, Uruguay, and Venezuela. Associate members include Chile, Colombia, Ecuador, and Peru. Associate members have access to preferential trade but not to tariff benefits of full members. Guyana and Suriname signed Framework Agreements in 2013. Mexico, interested in becoming a member of the region, has an observer status.

Goals: Integration of member states for acceleration of sustained economic development based on social justice, environmental protection, and combating poverty. Population: 295 million people (2014 est.); GDP (PPP): US$3.2 trillion (Summit of Heads of Member & Associated States, Brazil, July 17, 2015).

NAFTA (North American Free Trade Agreement) ***Updated 17 Apr 2017***Agreement signed on 1 January 1994.Members: Canada, Mexico, and the United States of America.

Goals: Eliminate trade barriers among member states, promote conditions for free trade, increase investment opportunities, and protect intellectual property rights. Population of over 478 million (July 2015 est., The CIA Factbook, February 2016).GDP (PPP) US$21.818 trillion (2015 est., The CIA Factbook, February 2016).

Other regional trade blocks, regional economic partnerships and free trade associations include the following: ***Updated 17 Apr 2017***
ANDEAN (Andean Community Countries) – Bolivia, Colombia, Ecuador, and Peru. Associate Members: Argentina, Brazil, Chile, Paraguay, and Uruguay. Observer Countries: Mexico and Panama.

BSEC (Organization of the Black Sea Economic Cooperation) – Albania, Armenia,

Azerbaijan, Bulgaria, Georgia, Hellenic Republic, Moldova, Romania, Russian Federation, Serbia, Turkey, and Ukraine.

CARICOM (Caribbean Community) – Antigua & Barbuda, The Bahamas, Barbados, Belize, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saint Kitts & Nevis, Saint Lucia, Saint Vincent & The Grenadines, Surinam, and Trinidad & Tobago. Associate Members: Anguilla, Bermuda, British Virgin Islands, Cayman Islands, and Turks & Caicos Islands.

CIS (Commonwealth of Independent States) Armenia, Azerbaijan, Belarus, Kazakhstan, Kyrgyz, Moldova, Russia, Tajikistan, Turkmenistan, Ukraine, and Uzbekistan.

COMESA (Common Market for Eastern and Southern Africa) Burundi, Comoros, Democratic Republic of the Congo, Djibouti, Egypt, Eritrea, Ethiopia, Kenya, Libya, Madagascar, Malawi, Mauritius, Rwanda, Seychelles, Sudan, Swaziland, Uganda, Zambia, Zimbabwe.

ECOWAS (Economic Community of West African States) Benin, Burkina Faso, Cape Verde, The Gambia, Ghana, Guinea, Guinea Bissau, Ivory Coast, Liberia, Mali, Niger, Nigeria, Senegal, Sierra Leone, and Togo.

Eurasian Economic Union - Armenia, Belarus, Kazakhstan, Kyrgyz, and Russia.

EFTA (European Free Trade Association) – Iceland, Liechtenstein, Norway, and Switzerland.

GAFTA (Greater Arab Free Trade Area) - Algeria, Bahrain, Egypt, Iraq, Jordan, Kuwait, Lebanon, Libya, Morocco, Oman, Palestine, Qatar, Saudi Arabia, Sudan, Syria, Tunisia, United Arab Emirates (UAE), and Yemen. (No official Website found.)

GCC (Gulf Cooperation Council for the Arab States of the Gulf) – Bahrain, Kuwait, Oman, Qatar, Saudi Arabia, and the United Arab Emirates (UAE).

Pacific Community – comprised of the 22 Pacific island countries and territories of American Samoa, Cook Islands, Fiji Islands, French Polynesia, Guam, Kiribati, Marshall Islands, Micronesia, Nauru, New Caledonia, Niue, Northern Mariana Islands, Palau, Papua New Guinea, Pitcairn Islands, Samoa, Solomon Islands, Tokelau, Tonga, Tuvalu, Vanuatu, Wallis and Futuna, and the founding countries of Australia, France, New Zealand and the United States of America.

SAARC (South Asian Association for Regional Cooperation) Afghanistan, Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan, and Sri Lanka.

SADC (Southern Africa Development Community) Angola, Botswana, Democratic Republic of Congo, Lesotho, Madagascar, Malawi, Mauritius, Mozambique, Namibia, Seychelles, South Africa, Swaziland, Tanzania, Zambia, and Zimbabwe.

The Shanghai Cooperation Organisation China, Kazakhstan, Kyrgyz, Russia, Tajikistan, and Uzbekistan.

INTRA – REGIONAL COOPERATION

T**TIP (Transatlantic Trade and Investment Partnership)** ***Updated 18 Apr 2017***
On 13 February 2013, the presidents of the United States, European Council, and European Commission announced the launch of negotiations on a TTIP.
Goals: The TIPP aims to expand existing trade between the regions; advance trade and investment liberalization; address regulatory and other non-tariff barriers.
Size of proposed trade zone: Together, the EU and the US account for 47% of the world's gross domestic product (GDP) and 30% of global trade flows. Together they would create the biggest free trade zone in the world, with around USD2.7bn of goods and services being traded daily. Aggregate investment between the two economies is in excess of USD3.7 trillion (Tax-News, 15 February 2013). **For more information on the TTIP:**
EU Updates

TPP (Trans-Pacific Partnership Agreement) - ***Link Removed - Updated 18 Apr 2017***
Founded in 2006 as the ***Trans-Pacific Strategic Economic Partnership Agreement***, known as the P4, with Brunei, Chile, New Zealand, and Singapore as its members.

APEC (Asia-Pacific Economic Cooperation) ***Updated 18 Apr 2017***
Initiated in January 1989 by Australia for more effective economic cooperation across the Asia-Pacific Region.
Members: Australia, Brunei Darussalam, Canada, Chile, People's Republic of China, Hong Kong/China, Indonesia, Japan, Republic of Korea, Malaysia, Mexico, New Zealand, Papua New Guinea, Peru, Phillipines, Russia, Singapore, Chinese Taipei, Thailand, United States, and Viet Nam.

ACP (African, Caribbean and Pacific Group of States) ***Updated 18 Apr 2017***
Created in 1975 with the signing of the Georgetown Agreement, establishing a partnership between the ACP and the European Union.
Members: There are 79 member-states.
Goals: To work together towards peace and stability, the eradication of poverty, sustainable development and increase competitiveness for gradual integration into the world economy, and to act as a unified political entity in international forums.

ACS (Association of Caribbean States) ***Updated 18 Apr 2017***
Established in July 1994 in Colombia with the aim of promoting consultation, cooperation and concerted action among all countries of the Caribbean region. As a Zone of Cooperation, it focuses on trade, transport, sustainable tourism and natural disasters within the region. Members: Antigua & Barbuda, The Bahamas, Barbados, Belize, Colombia, Costa Rica, Cuba, Dominica, Dominican Republic, El Salvador, Grenada, Guatemala, Guyana, Haiti, Honduras, Jamaica, Mexico, Nicaragua, Panama, St. Kitts Nevis, St. Lucia, St. Vincent & the Grenadines, Suriname, Trinidad & Tobago, and Venezuela. Associate members include Aruba, France, Netherland Antilles, and Turks and Caicos.

IBSA – India-Brazil-South Africa Trilateral ***Updated 18 Apr 2017*** Initiated in June 2003 with the first Foreign Affairs Ministers meeting in Brasilia, Brazil. Followed three months later by the meeting of the Heads of State in New York, USA.

Goals: Among others, to develop South-South cooperation and work together at multilateral forums, such as the United Nations (UN) and World Trade Organization (WTO), for the promotion of an alternative perspective of world affairs.

BRICS – Brazil-Russia-India-China-South Africa ***Added 18 Apr 2017***
Since Goldman Sachs first formulated the acronym "BRIC" in 2001 to highlight the growing economies of Brazil, Russia, India, and China, the four countries initiated economic dialogue in 2006. With the inclusion of South Africa in 2011, the emerging political-economic-diplomatic entity has become known as BRICS.BRICS account for 43% of the world's population, 26% of the world's land mass, 30% of the world's GDP, and 17% of world trade (BRICS India 2016). The 8th BRICS Summit was held in Goa, India, on October 15-16, 2016.